[Cites 32, Cited by 0] Delhi District Court M/S Omaxe Ltd vs Ms. Asha Saini on 11 January, 2022 IN THE COURT OF SHRI RAJ KUMAR CHAUHAN: DISTRICT JUDGE (COMMERCIAL COURT)-01: SOUTH-EAST, SAKET : NEW DELHI

OMP (COMM) NO. 50/19 in the matter of:-

M/s Omaxe Ltd 10 LSC, Kalkaji New Delhi-110019 .....Petitioner VERSUS Ms. Asha Saini W/o Sh. Bal Kishan Saini R/o A-58, Freedom Fighters Enclave Neb Sarai, New Delhi-110068 .....Respondent

and

OMP (COMM) NO. 53/19 in the matter of:-

M/s Omaxe Ltd 10 LSC, Kalkaji, New Delhi-110019 .....Petitioner VERSUS Ms. Asha Saini W/o Sh. Bal Kishan Saini,R/o A-58, Freedom Fighters Enclave Neb Sarai, New Delhi-110068 .....Respondent

Date of institution : 10.05.2019
Arguments concluded on : 11.01.2022
Date of decision : 11.01.2022

OMP (COMM) NO. 50/19
&
OMP (COMM) NO. 53/19
M/s OMAXE Ltd Vs Asha Saini

(RAJ KUMAR CHAUHAN)
District Judge (Commercial Court)-01
South-East, Saket, New Delhi.11.01.2022 Page no..... 1/64
(Through Cisco Webex Video Conferencing)

ORDER

1. By this common order, I shall dispose of the petition no. OMP(comm) 50/2019 & OMP(comm) 53/2019. These petitions u/s 34 of the Arbitration and Conciliation Act, 1996 (hereinafter referred as 'Arbitration Act') have been filed by the petitioner for setting aside the awards dated 26.12.2018 and modified awards dated 11.02.2019 (hereinafter referred as 'impugned awards') passed by Sh.Kuldip Singh Sole Arbitrator/ retired ADJ. The facts, reasoning of the awards,

date of the awards are same in both the petitions except the flat number and date of buyer's agreement only.

2. Brief facts giving rise to filing the claim petitions and passing of the impugned awards by the Ld Arbitrator are that :-

i. Petitioner was developing and constructing a residential project at Bahadurgarh, Haryana in the name of "Omaxe North Avenue"; respondent/claimant made the applications for allotment of flats in the said project on 21.03.2006 and paid Rs. 4,53,750/- each as booking amount. As per clause-21 of the said application, the details of the terms and conditions of the application shall form part of the Buyer's agreement which would be executed as and when required by the & M/s OMAXE Ltd Vs Asha Saini (RAJ KUMAR CHAUHAN) District Judge (Commercial Court)-01 South-East, Saket, New Delhi.11.01.2022 Page no..... 2/64 petitioner company. The possession of the flats was proposed to be handed over within 30 months with an extended period of six months from the date of execution of the Builder Buyer Agreement. The respondent/claimant was allotted flat no. 602 Empire Tower, Omaxe North Avenue, Bahadurgarh, Haryana (hereinafter referred as "Flat no. 602") (in petition no. 50/19) and flat no. 706, Petronas Tower, Omaxe North Avenue, Bahadurgarh, Haryana (hereinafter referred as "Flat no. 706") (in petition no. 53/19) for total sale consideration of Rs. 25,48,350/- each flat payable in installments; that on 06.09.2008 Builder Buyer Agreement was sent to the claimant who did not sign the same and remained unexecuted. The letter dated 30.08.2011 is annexure-P8. Petitioner and respondent/claimant signed the Builder Buyer Agreement which was executed on 02.02.2012 regarding flat no. 602 and Agreement dated 09.02.2012 regarding flat no. 706 respectively. The clause-49 of the said Builder Buyer Agreement contained the arbitral clause for settling the dispute if any. ii. Respondent/claimant raised issues for alleged delay in delivery of possession and claimed damages by way of interest @ 24% per annum on the paid amount. After completion of construction, flat the possession was offered to the respondent on 30.11.2012 and claimant was requested to pay the balance amount of & M/s OMAXE Ltd Vs Asha Saini (RAJ KUMAR CHAUHAN) District Judge (Commercial Court)-01 South-East, Saket, New Delhi.11.01.2022 Page no..... 3/64 Rs. 1,26,118.87/- regarding flat no. 602 and Rs. 2,25,480.77/- regarding flat no. 706. The claimant made a complaint dated 19.11.2013 in the Police Station Kalkaji for not honouring the terms and conditions of the Agreement. Vide communication dated 02.12.2013 parties settled their disputes amicably whereby petitioner executed and registered the Sale Deed of the said flat in favour of respondent/claimant on 08.01.2014 after withdrawal of the complaint by the claimant. The claimant without any objection and protest obtained possession of the said flats on 08.01.2014. The sale deed was got

registered within 30 months from the date of Builder Buyer Agreement dated 02.02.2012 & 09.02.2012 and as such there was no delay in delivering and taking the possession of the flats by the claimant. However, the respondent/claimant invoked the Arbitration vide notice dated 22.08.2017 and subsequently petition no. 672/2017 in the Hon. High Court of Delhi where sole Arbitrator was appointed vide order dated 12.12.2017. The Respondent/claimant filed the statement of claim before the Ld Arbitrator on account of delay in handing over the possession of the said flats claiming following amount:-

In petition OMP (COMM) no. 50/19 (a) Damages/compensation amount to Rs.28,98,581/- with pendentelite interest @ & M/s OMAXE Ltd Vs Asha Saini (RAJ KUMAR CHAUHAN) District Judge (Commercial Court)-01 South-East, Saket, New Delhi.11.01.2022 Page no..... 4/64 24% p.a till realization. (b) Pay back the amount of Rs. 29,438/- which was charged arbitrarily by the respondent @ 24% p.a on Rs. 1,26,110/- for alleged late payment for possession of the said flat.

(c) Pay Rs. 5,00,000/- as mental agony and harassment that has been cause by illegal acts of the respondent.

(d) Pay Rs. 3,00,000/- towards cost of litigation.

(e) To pass any other order as may be deem fit by the Ld Arbitrator.

In petition OMP (COMM) no. 53/19

(f) Damages/compensation amount to Rs.26,74,765/- interest @ 24% p.a till realization.

(g) Pay back the amount of Rs. 46,022/- which was charged arbitrarily by the respondent @ 24% p.a on Rs. 2,28,375/- for alleged late payment for possession of the said flat.

(h) Pay Rs. 5,00,000/- as mental agony and harassment that has been cause by illegal acts of the respondent.

(i) Pay Rs. 3,00,000/- towards cost of litigation.

& M/s OMAXE Ltd Vs Asha Saini (RAJ KUMAR CHAUHAN) District Judge (Commercial Court)-01 South-East, Saket, New Delhi.11.01.2022 Page no..... 5/64

(j) To pass any other order as may be deem fit by the Ld Arbitrator.

iii. Petitioner/respondent filed reply to the statement of claim for which rejoinder was filed. Ld Arbitrator has framed the following issues on 20.07.2018:-

In petition OMP (COMM) no. 50/19 i. Whether the terms and conditions contained in document dated 23.03.2006 styled as basic terms and conditions is the real buyer agreement? OPC ii. Whether the Agreement dated 02.02.2012 has any overriding effect on the document dated 23.03.2006 ? OPC iii. Whether the Respondent has failed to deliver the possession of the flat bearing no. 602, Empire Tower, Omaxe North Avenue, Bahadurgarh, Haryana to the claimant on time of the terms and conditions of the application Form dated 23.03.2006? OPC iv. Whether the Claimant is entitled to damages of compensation, if so, to what amount? OPC v. Whether Claimant is entitled to get back amount of Rs. 29,438/- which allegedly charges arbitrarily by the Respondent as & M/s OMAXE Ltd Vs Asha Saini (RAJ KUMAR CHAUHAN) District Judge (Commercial Court)-01 South-East, Saket, New Delhi.11.01.2022 Page no..... 6/64 interest for late payment ? OPC vi. To what amount of interest, the Claimant is entitled and at what rate? OPC vii. Whether the claim is barred by time ?

OPR
viii. Relief.

In petition OMP (COMM) no. 53/19 i. Whether the respondent has failed to deliver the possession of the flat bearing no. 706, Petronas Tower, Omaxe North Avenue, Bahadurgarh, Haryana to the claimant on time of the terms and conditions of the application Form dated 23.03.2006? OPC ii. Whether the claimant is entitled to damages of compensation, if so, to what amount? OPC iii. Whether Claimant is entitled to get back amount of Rs. 46,022/- which allegedly charges arbitrarily by the Respondent as interest for late payment ? OPC iv. To what amount of interest, the Claimant is entitled and at what rate? OPC v. Whether the claim is barred by time ? OPR vi. Relief.

& M/s OMAXE Ltd Vs Asha Saini (RAJ KUMAR CHAUHAN) District Judge (Commercial Court)-01 South-East, Saket, New Delhi.11.01.2022 Page no..... 7/64 iv. On 20.07.2018 on the oral application of the respondent/claimant Ld Arbitrator has famed the following issues:

1A: Whether the terms and conditions contained in document dated 23.03.2006 styled as basic terms and conditions is the real buyer agreement? OPC 1B: Whether the Agreement dated 09.02.2012 has any overriding effect on the document dated 23.03.2006? OPC v. After hearing arguments, Ld Arbitrator has passed the following

awards in favour of respondent/claimant:- In petition OMP (COMM) no. 50/19 S.no Particulars Amount (Rs) 1 Damages as interest on the 14,99,000/- investment @ 15% p.a w.e.f 23.09.2009 till 08.01.2014 2 pendentelite interest on the 7,19,000/- amount of damages awarded as interest on investment of Claimant till the date of possession w.e.f January 2014 till December 3 Refund of over charged 29,000/- interest & M/s OMAXE Ltd Vs Asha Saini (RAJ KUMAR CHAUHAN) District Judge (Commercial Court)-01 South-East, Saket, New Delhi.11.01.2022 Page no..... 8/64 4 Cost of litigation 1,50,000/- Total 23,97,000/- In petition OMP (COMM) no. 53/19 S.no. Particulars Amount (Rs) 1 Damages as interest on the 13,46,000/- investment @ 15% p.a w.e.f 23.09.2009 till 08.01.2014 2 pendentelite interest on the 6,46,000/- amount of damages awarded as interest on investment of Claimant till the date of possession w.e.f January 2014 till December 2018 3 Refund of over charged 46,000/-

interest 4 Cost of litigation 1,50,000/-

Total 21,88,000/-

vi. The respondent/claimant moved an application under section 33 of the Arbitration Act for correction of clerical, typographical and computation and other errors in the award vide application dated 11.01.2019. Ld Arbitrator vide order dated 11.02.2019, finally passed the following award in favour of the claimant:-

S.no. Particulars Amount (Rs) 1 Damages as interest on the 16,72,000/-

investment amounting to Rs. 23,37,566/- @ 15% p.a & M/s OMAXE Ltd Vs Asha Saini (RAJ KUMAR CHAUHAN) District Judge (Commercial Court)-01 South-East, Saket, New Delhi.11.01.2022 Page no..... 9/64 w.e.f 01.04.2009 till 08.01.2014 2 pendentelite interest on the 8,02,560/-

amount of damages awarded as interest on investment of Claimant till the date of possession w.e.f January 2014 till December 2018

3 Refund of over charged 29,000/- interest 4 Cost of litigation 1,50,000/- Total 26,53,560/-

In petition OMP (COMM) no. 53/19 S.no Particulars Amount (Rs) 1 Damages as interest on the 15,43,000/-

investment amounting to
Rs.21,57,068/- @ 15% p.a
w.e.f 01.04.2009 till
08.01.2014

2 pendentelite interest on the 7,40,640/- amount of damages awarded as interest on investment of Claimant till the date of possession w.e.f January 2014 till December 2018 3 Refund of over charged 29,000/- interest 4 Cost of litigation 1,50,000/- Total 24,62,640/-

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3. The impugned awards has been challenged in both the petitions on the following grounds:-

i. That the Ld Arbitrator has ignored the principle of law and has favoured the respondent/claimant and granted the relief which are beyond the terms of the agreement and documents. ii. Ld Arbitrator was appointed to adjudicate the dispute in relation of the agreement dated 02.02.2012 (subject matter in petition no. 50/2019) & 09.02.2012 (subject matter in petition no. 53/2019). As per clause 49 of the said agreement the possession was to be handed over by 08.02.2015 and same was handed over on 08.01.2014 within time. Therefore, Ld Arbitrator has committed illegality and concluded that there was delay in handing over the possession.

iii. Ld Arbitrator has made the award contrary to the terms of the contract by awarding the damages by way of the interest which is more than the value of the amount paid by the respondent/claimant for each flat which is unjust and against the public policy and in contradiction to the basic notions of morality and justice.

iv. The claim of money by the respondent/claimant related to the damages/interest and refund of interest and delay of payment and litigation expenses are not

contemplated in the agreement dated 02.02.2012 & & M/s OMAXE Ltd Vs Asha Saini (RAJ KUMAR CHAUHAN) District Judge (Commercial Court)-01 South-East, Saket, New Delhi.11.01.2022 Page no..... 11/64 09.02.2012 and as such arbitrator has misconducted himself by exceeding the jurisdiction and acted in arbitrary manner.

v. The arbitration petition was filed on the basis of the agreement dated 02.02.2012 & 09.02.2012 and the relief is granted on the basis of the application dated 21.03.2006 which is illegal and against the notions of the principle of justice. vi. An application dated 21.03.2006 is not a concluded and valid agreement between the parties as it was mere offer by the respondent/claimant to purchase a residential unit because the said application neither identified the property agreed to be sold with its area nor the total consideration for which the parties agreed to sell the property and the final date of making of payment was also not mentioned. Clause-17, 21 and 22 of the said application shows that the parties did not intend to be bound by the application until a formal agreement was signed and application form dated 21.03.2006 contained the condition to enter into an another agreement and as such said application was not contract because the contract has not concluded between the parties in the said application. vii. Finally, if it is assumed that application dated 21.03.2006 was an agreement between the parties and the said agreement stood novated on entering & M/s OMAXE Ltd Vs Asha Saini (RAJ KUMAR CHAUHAN) District Judge (Commercial Court)-01 South-East, Saket, New Delhi.11.01.2022 Page no..... 12/64 into the detailed agreement dated 02.02.2012 and 09.02.2012 in view of the section 62 of the Indian Contract Act.

viii. The claimant entered into the said agreement dated 02.02.2012 and 09.02.2012 and executed the Sale deed on 08.01.2014 without any protest and there is estoppal from raising any dispute for the claim made in the claim petition. Ld Arbitrator has ignored all these facts and circumstances in violation of principle of natural justice.

ix. The damages awarded as interest @ 15 % per annum w.e.f 23.09.2009 till 08.01.2014 is arbitrary and illegal and contrary to the agreed terms of the contract between the parties i.e. clause 28(f) of the Agreement dated 02.02.2012 & 09.02.2012 which provides remedies for delay in construction and delay as under :-

" Clause 28(f) of the said agreement provides:- In case of delay in construction of the said flat attributable to delay of company subject to clause (a) & (b) herein above, the Company would pay a sum at the rate of Rs. 5/- per sq. ft of super area per month for the period of delay to the Buyer(s), provided however that the Buyer(s) had made payment of all instalments towards the Sale consideration amount of the said Flat in time and without making any delay to the company." & M/s OMAXE Ltd Vs Asha Saini (RAJ KUMAR CHAUHAN) District Judge (Commercial Court)-01 South-

East, Saket, New Delhi.11.01.2022 Page no..... 13/64 x. Since the damages has been agreed to be liquidated damages as per clause-28 (f) of the agreement therefore as per section 74 of the Contract Act the claim could only be a liquidated damages i.e a sum as named in the clause-28(f). Since the possession has been handed over within 30 months of execution of buyer's agreement and as such there was no delay which may entitle the respondent/claimant for damages/interest. xi. The observation of Ld Arbitrator that the buyer's agreement dated 02.02.2012 was one sided is even beyond the case pleaded by the respondent/claimant and is patent illegality in the award. In case agreement dated 02.02.2012 & 09.02.2012 was invalid then the appointment of the Ld Arbitrator became invalid. Therefore award is based on surmises and extraneous findings by the Ld Arbitrator and there is no evidence on record to support the impugned award.

4. In reply to the petitions, claimant/respondent has taken the preliminary objection that the agreement was finally concluded between the parties by acceptance of Rs. 4,53,750/- as per application form dated 21.03.2006; the respondent has made the payment between 23.03.2006 to 18.11.2008 i.e Rs. 23,37,566/- with respect to the flat no. 602 (subject matter of petition no. 50/19) & M/s OMAXE Ltd Vs Asha Saini (RAJ KUMAR CHAUHAN) District Judge (Commercial Court)-01 South-East, Saket, New Delhi.11.01.2022 Page no..... 14/64 and Rs. 23,35737/- between 23.03.2006 to 18.11.2018 for flat no. 706 (subject matter of petition no. 53/2019). Thus, the essence of timely payment as mandated in clause-6 of terms and conditions/Contract dated 23.03.2006 were timely complied with by the claimant. That the petitioner deliberately tried to play a trick after 30 months booking and receiving the payment and has sent an buyer's agreement in duplicate for signature of the respondent despite agreement was already concluded on 23.03.2006 and claimant/respondent was reluctant to sign it on the persuasion of petitioner. The signed agreement was required to facilitate the execution of Sale Deed and 95% payment was already made. Respondent had no choice but to sign on the dotted lines as per directions of the petitioner; claimant/respondent has signed the alleged agreement dated 02.02.2012 and 09.02.2012 under coercion without her free will under the threat of cancellation and forfeiture of earnest money, that respondent/claimant has sent a legal notice dated 30.11.2012, Subsequently letter dated 09.01.2013 and 30.11.2012 and also filed a complaint in January 2013 in the State Consumer Disputes Redressal Commission, New Delhi; after the filling of the police complaint dated 19.11.2013 for the fraud and cheating against the Directors of the petitioner, petitioner agreed to execute the sale deed within 30 days upon withdrawal of the police complaint. Accordingly, respondent on 02.12.2013 withdrew the & M/s OMAXE Ltd Vs Asha Saini (RAJ

KUMAR CHAUHAN) District Judge (Commercial Court)-01 South-East, Saket, New Delhi.11.01.2022 Page no..... 15/64 police complaint against the petitioners subject to her rights and contentions in the matter; that the possession of the flat was given after more than 8 years of booking as against the promise of 30 months and a sum of Rs.29,438/- was illegally charged for the delay in making the payment from the respondent despite that there was no delay in making payment.

5. In para-wise reply to the petition, the averments made in the petitions challenging the impugned award has been controverted and denied stating that there was no patent illegality or award was not against the interest of India, justice or morality. That the Ld Arbitrator did not travel beyond the contract. It is stated that petition is liable to be dismissed.

6. It has been reiterated that the three components of offer and acceptance came into existence on 23.03.2006 itself and contract had been concluded and mere signing of buyer's agreement at a later date i.e 02.02.2012 and 09.02.2012 the same cannot supersede the offer and acceptance which had already taken place. Therefore, Ld Arbitrator has rightly held that all the documents are to be read in combined manner to draw conclusion as and when the contract had been concluded and the buyer's agreement is not a new thing and same is in continuation of the existing agreement of 23.03.2006 which could not include any clause contrary to the existing agreement and could not change the period of delivery of possession of flat and & M/s OMAXE Ltd Vs Asha Saini (RAJ KUMAR CHAUHAN) District Judge (Commercial Court)-01 South-East, Saket, New Delhi.11.01.2022 Page no..... 16/64 same can only be delivered within 30 months from the date of accepting the first deposit. It is further submitted that the Ld Arbitrator has rightly concluded that there is delay on the part of the petitioner for handing over the possession of the said flat and has rightly passed the said award and impugned award does not require indulgence of this court because as per law it is not permissible to examine the correctness of the findings of the Ld Arbitrator as if court is sitting in appeal over his findings.

7. Petitioner has also filed rejoinder to the reply of the respondent wherein all averments in the petition has been reiterated and the averments of the respondent in reply has been controverted and denied.

8. I have heard Ld Senior Counsel Sh. Neeraj Malhotra and Sh. Harish Kumar Advocate for the petitioner and Sh. Praveen Mahajan Ld counsel for the respondent at length and gone through the record carefully. Both the counsels have also filed written brief submissions.

ARGUMENTS OF PETITIONER

9. Ld Senior counsel for the petitioner has argued as under:-

i. Firstly, Ld Arbitrator has dealt with a different dispute from the dispute referred by the Hon'ble High Court of Delhi as Ld Arbitrator has & M/s OMAXE Ltd Vs Asha Saini (RAJ KUMAR CHAUHAN) District Judge (Commercial Court)-01 South-East, Saket, New Delhi.11.01.2022 Page no..... 17/64 ignored the agreement dated 02.02.2012 and 09.02.2012 respectively and relied upon the application form preceding buyer's agreement. ii. Secondly, as per clause-17 of the terms and conditions the possession was to be given within 36 months from the date of execution of builder buyers agreement dated 02.02.2012 &09.02.2012. The possession was thus to be handed over on or before 09.02.2015 and same has been given within time.

iii. Thirdly, the arbitration clause was contained in the builder buyer's agreement therefore the dispute arisen out of the said agreement was referred for adjudication by the Hon'ble High Court of Delhi and as such Ld Arbitrator could not have considered anything beyond the builder buyer's agreement therefore relying the initial application by the Ld Arbitrator is patent illegality because the said agreement based on the application form did not contain the arbitration clause.

iv. Fourthly, the adjudication of the dispute is hit by the limitation because possession was taken over by 08.01.2014 and notice u/s 21 of the Arbitration Act was issued on 22.08.2017 beyond the period of 3 years. Notice under section 21 of the Arbitration Act is akin to the institution of the & M/s OMAXE Ltd Vs Asha Saini (RAJ KUMAR CHAUHAN) District Judge (Commercial Court)-01 South-East, Saket, New Delhi.11.01.2022 Page no..... 18/64 civil suit and as such notice for arbitration and the claim therein were barred ex-facie by limitation. The question of limitation was to be determined by the Ld Arbitrator because in application under section 11 Hon'ble High Court of Delhi has considered only arbitration clause and not the arbitrability of the dispute which has to be seen by the Ld Arbitrator.

v. Awarding of 15% interest and compensation amount is exceeding the cost of the flat is apparent mistake on the face of the record which makes the award illegal.

vi. The novation of initial agreement /builder buyer's agreement has been ignored by the Ld Arbitrator and has wrongly relied upon 2 judgment of Hon'ble National Consumer Disputes Redressal Commission forum.

vii. Builder buyers agreement is the only binding contract between the parties because application form categorically contained clause-17, 20,22 for referring to

builder buyer's agreement. viii. The damages which has been awarded are beyond the agreed damages by the parties which make the award illegal.

10. The petitioner has also filed written arguments alongwith relevant citation which can be summarized as & M/s OMAXE Ltd Vs Asha Saini (RAJ KUMAR CHAUHAN) District Judge (Commercial Court)-01 South-East, Saket, New Delhi.11.01.2022 Page no..... 19/64 under :-

i. The application dated 21.03.2006 provided that detailed terms and conditions shall form part of the buyer's agreement which the applicant shall execute as and when required by the company; that the said application did not contain any agreement to refer the dispute for arbitration. The detailed builder buyer's agreement was signed between the parties on 02.02.2012 and 09.02.2012 which contains an arbitration agreement clause 49. Clause 28(a) Builder buyer's Agreement provided that the petitioner shall complete the construction within the period of 36 months from the date of signing of the said agreement. The said agreement also provided that as per clause -28(f) in case of any delay in construction of the said flat and handing over of possession, the plaintiff has to pay a sum of Rs. 5 sq.ft of super area per month for the period of delay. The petitioner completed the project and offered possession of the flat in question to the respondent on 05.01.2013 within the period as provided in the said agreement and there was no delay and as such respondent was not entitled to any compensation on account of delay in offering the possession of the flat. ii. Secondly, the respondent got executed and registered the Conveyance Deed on 08.01.2014 in & M/s OMAXE Ltd Vs Asha Saini (RAJ KUMAR CHAUHAN) District Judge (Commercial Court)-01 South-East, Saket, New Delhi.11.01.2022 Page no..... 20/64 her favour and thereby settling all the disputes with the petitioner and also withdrew the complaint dated 02.12.2013 and as such no dispute between the parties was left for adjudication.

iii. Thirdly, Ld Arbitrator was to decide the matter based on documentary evidence as no oral evidence was led by the parties. Ld Arbitrator was not supposed to go beyond the agreement dated 02.02.2012 and 09.02.2012 and has ignored the documents on record and order of reference of Hon'ble High Court of Delhi and has gone beyond the scope of reference while passing the impugned award.

iv. The impugned award is liable to be set-aside being in conflict with the public policy of India as it is contrary to provision of Section 62 and also Section 74 of the Indian Contract Act, 1872. Reliance has been placed upon (I) Oil and Natural Gas Corporation Ltd Vs Westen Geco International Ltd (civil appeal no. 3415 of 2007, Honible Supreme Court of India, (II) Oil and Natural Gas Corporation Ltd Vs Saw Pipes Ltd (Appeal(civil) no. 7419 of 2001, Honible Supreme Court of India.

v. The impugned award is in violation of section 74 of the Indian Contract Act because parties have already provided compensation/ & M/s OMAXE Ltd Vs Asha Saini (RAJ KUMAR CHAUHAN) District Judge (Commercial Court)-01 South-East, Saket, New Delhi.11.01.2022 Page no..... 21/64 penalty for breach of contract if any and reasonable compensation cannot exceed the amount so named or penalty, as the case may be. Ignoring the said penalty providing a sum of Rs. 5 per sq. ft per month. Ld Arbitrator has passed the award of Rs. 24,62,640/- which is more than the totaled paid amount of Rs. 24,31,850/- against the flat in question and has thus made the flat in question free of cost to the respondent with further sum of Rs. 30,790/- as reward. A Reliance has been placed upon Rajesh Gullah Vs Sangeeta Sethi & Anr , 2018 SCC online Del. 12684. vi. The Arbitrator being a creature by the agreement between the parties has to operate within four corners of the agreement and Ld Arbitrator has completely ignored clauses 28(a) and 28(f) of the Agreement dated 02.02.2012 and 09.02.2012. Reliance has been placed upon as under:-

(a) Sharma and Associates Contractors Pvt Ltd Vs. Progressive Constructions Ltd (2017) 5 SCC 743. (b) Food Corporation of India vs Chandu Construction and Ors, (Manu/SC/7285/2007). (c) R.Natesan vs R.Padmanaben, Madras High Court decided on 02.06.2016. & M/s OMAXE Ltd Vs Asha Saini (RAJ KUMAR CHAUHAN) District Judge (Commercial Court)-01 South-East, Saket, New Delhi.11.01.2022 Page no..... 22/64 vii. The impugned award is liable to be set-aside as claim of the respondent is barred by limitation because as per article 27 of the limitation Act the claim for the compensation can be made within the period of 3 years from the time specified arrives or the contingency happens.

viii. The arbitration proceedings commenced from 22.08.2017 therefore damages prior to the period of 3 years i.e 22.08.2014 cannot be awarded but the arbitrator has awarded the damages from 01.04.2009 which was barred by the limitation.

ix. Further the possession of the flat was taken on 08.01.2014 hence the cause of action for claim of damages if any arose on 08.01.2014 but the notice under section 21 of the Arbitration Act was issued on 22.08.2017 I.e beyond 3 years after accrual of the cause of action and as such the claim so raised on the basis of invoking the arbitration was hit by the limitation. A reliance has been placed of case of State of Goa Vs Praveen Enterprises (CA no. 4987 of 2011, arising out of SLP(c) no. 15337 of 2009 Hon. Supreme Court of India.

x. The respondent has not invoked section 14 of the Limitation Act for exclusion of time of consumed during the proceedings of civil suit & M/s OMAXE Ltd Vs Asha Saini (RAJ KUMAR CHAUHAN) District Judge (Commercial Court)-01 South-East, Saket, New Delhi.11.01.2022 Page no..... 23/64 instituted by them in the year 2014. The

respondent has neither acted in due diligence nor good faith in filing the civil proceedings ignoring the arbitration clause and as such not entitled to the extension of the period of limitation under section 14 of the Limitation Act. Reliance has been placed upon:-

(a) Prem Laxmi & Co. Mumbai Vs Ingersoll Rand (India) Ltd, Bangalore & Anr , 2011(1) Mh.L.J. 178. (b) Commissioner, M.P. Housing Board & Ors Vs. Mohanlal & Company (Manu/ SC/0830/ 20165). xi. Lastly, the impugned award is liable to be set-

aside in view of Section 62 of the Indian contract Act which provides as follows:

"62. Effect of novation, rescission and alteration of contract: if the parties to a contract agree to substitute a new contract for it, or to rescind or alter it, the original contract need not be performed " xii. It is submitted that the parties have entered into an Agreement dated 02.02.2012 and 09.02.2012 subsequent to the application dated 21.03.2006. Upon execution of the subsequent agreement dated 02.02.2012 and 09.02.2012. Ld Arbitrator ought to have adjudicated the dispute between the parties, if any, in & M/s OMAXE Ltd Vs Asha Saini (RAJ KUMAR CHAUHAN) District Judge (Commercial Court)-01 South-East, Saket, New Delhi.11.01.2022 Page no..... 24/64 view of the subsequent Agreement dated 02.02.2012and 09.02.2012. However, Ld Arbitrator has awarded damages taking the application dated 21.03.2006 as an Agreement. Assuming for the sake of arguments that the application dated 21.03.2006 was an Agreement but upon execution of subsequent Agreement dated 02.02.2012 and 09.02.2012, the said alleged Agreement stand novated, rescinds and altered by subsequent Agreement and the Petitioner need not perform the previous alleged Agreement. It is thus trite that Section 62 of the Contract Act was given a complete goby and ignored by the Sole Arbitrator, rendering the award contrary to public policy and therefore illegal. Following judgments relied upon :-

(a) M/s Mayavati Trading Pvt. Ltd Vs Pradyuat Deb Burman, CA no. 7023 of 2019 (arising out of SLP (Civil) no. 8519 of 2019. (b) Duro Fleguera, S.A vs M/s Gangavaram Port Ltd (2017) 9 SCC 729, Hon'ble Supreme Court of India . (c) Swarn Talwar & 2 Ors Vs Unitech Ltd. (2015 SCC Online NCDRC 3567. (d) Yogesh Sharma & Ors VS Unitech Ltd (2015 SCC Online NCDRC 3488). 11. It is further argued that the Award is bad in law and without application of judicious mind but passed on the assumption and presumption of the Ld. Arbitrator & M/s OMAXE Ltd Vs Asha Saini (RAJ KUMAR CHAUHAN) District Judge (Commercial Court)-01 South-East, Saket, New Delhi.11.01.2022 Page no..... 25/64 without due consideration of the facts, documents and issues involved between the parties, which is unjust, against the

public policy, erroneous and in contradiction to the basic notions of morality and justice. Hence, is liable to be set-aside.

ARGUMENTS OF RESPONDENT

12. The oral arguments and written arguments alongwith citations can be summarized as under:-

i. The dispute was regarding the delay in giving possession of the flat i.e from 23.03.2006 till 06.02.2012 when the possession was offered. The possession was delayed for about 6 years. ii. Section 34 is not an appeal and court has to see whether the view taken by the Ld Arbitrator was plausible view or not. iii. Ld Arbitrator has considered only documents as is evident from para no. 32 of the award. iv. Theory of novation was rightly rejected by the Ld Arbitrator with the reasoned view holding that the delivery of possession will be made as per builder buyer's agreement was not correct position. v. The question of limitation has been dealt with by the Ld Arbitrator and moreover limitation is a mixed question of law and facts and regarding the delay condonation application not filed, Ld Arbitrator has dealt with the same in clarificatory & M/s OMAXE Ltd Vs Asha Saini (RAJ KUMAR CHAUHAN) District Judge (Commercial Court)-01 South-East, Saket, New Delhi.11.01.2022 Page no..... 26/64 award. Further, Section 14 of the Limitation Act application is not necessary to file because statutory benefit can always be considered by the adjudicatory forum. vi. That the arguments of the petitioner that the time for possession shall be reckoned from the date of builder buyer agreement cannot be sustained because it will lead to absolute absurdity since in such a scenario the project of the petitioner having more than 1000 flats will have 1000 different date of the possession for each buyer who executed the builder buyer agreement on the different dates with the petitioner which is nothing but preposterous and fallacious argument which only leads to an absurd conclusion, thus the said line of argument was rightly rejected by Ld Arbitrator after going through entire document on the record of the arbitration. vii. Petitioner has received the entire consideration of flats more than 3 years before the date of entering upon the builder buyer agreement dated 02.02.2012 and 09.02.2012. Therefore, there is no force in the arguments of the petitioner that the dates of the possession for 30 months have to be reckoned from the date of builder buyer agreement. A reliance has been placed upon case of Pioneer Urban Land & Infrastructure Ltd V & M/s OMAXE Ltd Vs Asha Saini (RAJ KUMAR CHAUHAN) District Judge (Commercial Court)-01 South-East, Saket, New Delhi.11.01.2022 Page no..... 27/64 s Govindan Raghavan and Ors, MANU/SC/ 0463/2019 (decided on 02.04.2019). viii. Agreement dated 23.03.2006 was complete agreement duly providing for the identification of

the property purchased, sales consideration, modes and manner of payment of sales consideration and consequences of defaults, thus the execution of the builder buyer agreement was merely at the desire of the petitioner. A reliance has been placed upon the case of Kollipara Sriramulu Vs T.Aswathanarayana and Ors, MANU/SC/0019/ 1968.(decided on 04.03.1968) ix. The petitioner by filing the present petitions wants this court to reappreciate the entire evidence which is not permissible. x. Learned Arbitrator has construed the terms of contract in the reasonable manner . Reliance has been placed upon :- (a) Associate Builders VS Delhi Development Authority MANU/SC/1076/2014. (decided on 25.11.2014) (b) P.R.Shah, Shares and Stock Brokers (P) Ltd Vs B.H.H. Securities (P) Ltd MANU/SC/1248/2011.(decided on 14.10.2011) xi. The conduct of the parties and the correspondence, timing and quantum of & M/s OMAXE Ltd Vs Asha Saini (RAJ KUMAR CHAUHAN) District Judge (Commercial Court)-01 South-East, Saket, New Delhi.11.01.2022 Page no..... 28/64 consideration paid prior the builder buyer agreement dated 02.02.2012 and 09.02.2012 were the relevant factor which was duly appreciated by the Ld Arbitrator while passing the award which is fully permissible and such exercise falls under exclusive domain of the Ld Arbitrator which cannot be interfered under section 34 on the pretext of award being challenged on the ground of public policy. xii. There is no force in the arguments that the amount granted is more than the value of the flats because there is a delay of almost 5 and ½ years and the petitioner unlawfully benefited by using the amounts of the respondent in promoting its projects and caused unlawful loss to the respondent. As per clause-21 of agreement dated 23.03.2006 and general terms and conditions, the petitioner was entitled to charge commercial rate of interest from the buyers @ 24%p.a for delay in payments. Thus on the parity and fair and equitable grounds , respondent is entitled to the same rate of interest for the same cause but the Ld Arbitrator has awarded the interest @ 15% which is neither exorbitant nor excessive. xiii. That a binding and enforceable agreement was concluded on 23.03.2006 , the question of novation does not arise by merely signing of an & M/s OMAXE Ltd Vs Asha Saini (RAJ KUMAR CHAUHAN) District Judge (Commercial Court)-01 South-East, Saket, New Delhi.11.01.2022 Page no..... 29/64 already concluded agreement on a subsequent date. Ld Arbitrator has decided the issue no. 2 in that regard by giving well reasoned observations and rejecting the arguments of the petitioner in that regard.

xiv. Regarding the limitation, it is submitted that possession of the flat was delivered on 08.01.2014. The claimant filed the suit on 17.02.2014 before the Hon. High Court of Delhi which continued till 28.07.2017. Therefore, the period consumed from 17.02.2014 to 28.07.2017 due to bona-fide proceedings has to be excluded under section 14 of the Limitation Act. The respondent issued the notice dated 22.08.2017

without any delay as respondent was running from pillar to post for her redressal. Therefore, the point of limitation is mixed question of fact and law and has been rightly decided by the Ld Arbitrator.

ANALYSIS

13. Normally, the general principles are that Arbitrator is a Judge of the choice of the parties and his decision, unless there is an error apparent on the face of the award which makes it unsustainable, is not to be set aside even by the Court as a Court of law could come to a different conclusion on the same facts. The Court cannot & M/s OMAXE Ltd Vs Asha Saini (RAJ KUMAR CHAUHAN) District Judge (Commercial Court)-01 South-East, Saket, New Delhi.11.01.2022 Page no..... 30/64 reappraise the evidence and it is not open to the Court to sit in appeal over the conclusion of the Arbitrator. It is not open to the Court to set aside a finding of fact arrived at by the Arbitrator and only grounds on which the award can be set aside are those mentioned in the Arbitration Act. Where the Arbitrator assigns cogent grounds and sufficient reasons and no error of law or misconduct is cited, the award will not call for interference by the Court in exercise of the power vested in it. Where the Arbitrator is a qualified technical person and expert, who is competent to make assessment by taking into consideration the technical aspects of the matter, the Court would generally not interfere with the award passed by the Arbitrator.

14. An Arbitral Award can be set aside on the grounds set out in Sections 34(2)(a), (b) and (2A) of the Act in view of Section 5 of the Act.

15. Section 34 (1), (2) and (2A) of The Arbitration and Conciliation Act, 1996 read as under :-

"34. Application for setting aside arbitral award- (1) Recourse to a court against an arbitral award may be made only by an application for setting aside such award in accordance with sub-section (2) and subsection (3). (2) An arbitral award may be set aside by the court only if- (a) the party making the application furnishes proof that- (i) a party was under some incapacity, & M/s OMAXE Ltd Vs Asha Saini (RAJ KUMAR CHAUHAN) District Judge (Commercial Court)-01 South-East, Saket, New Delhi.11.01.2022 Page no..... 31/64 or (ii) the arbitration agreement is not valid under the law to which the parties have subjected it or, failing any indication thereon, under the law for the time being in force; or (iii) the party making the application was not given proper notice of the appointment of an arbitrator or of the arbitral proceedings or was otherwise unable to present his case; or (iv) the arbitral award deals with a dispute not contemplated by or not falling within the terms of

the submission to arbitration, or it contains decisions on matters beyond the scope of the submission to arbitration; Provided that, if the decisions on matters submitted to arbitration can be separated from those not so submitted, only that part of the arbitral award which contains decisions on matters not submitted to arbitration may be set aside; or

(v) the composition of the arbitral tribunal or the arbitral procedure was not in accordance with the agreement of the parties, unless such agreement was in conflict with a provision of this Part from which the parties cannot derogate, or, failing such agreement, was not in accordance with this Part; or

(b) the court finds that-

(i) the subject-matter of the dispute is not capable of settlement by arbitration under the law for the time being in force, or

(ii) the arbitral award is in conflict & M/s OMAXE Ltd Vs Asha Saini (RAJ KUMAR CHAUHAN) District Judge (Commercial Court)-01 South-East, Saket, New Delhi.11.01.2022 Page no..... 32/64 with the public policy of India.

Explanation 1 - For the avoidance of any doubt, it is clarified that an award is in conflict with the public policy of India, only if,-- (i) the making of the award was induced or affected by fraud or corruption or was in violation of Section 75 or Section 81; or (ii) it is in contravention with the fundamental policy of Indian law; or (iii) it is in conflict with the most basic notions of morality or justice.

Explanation 2.-- For the avoidance of doubt, the test as to whether there is a contravention with the fundamental policy of Indian law shall not entail a review on the merits of the dispute.

(2A) An arbitral award arising out of arbitrations other than international commercial arbitrations, may also be set aside by the Court, if the Court finds that the award is vitiated by patent illegality appearing on the face of the award:

Provided that an award shall not be set aside merely on the ground of an erroneous application of the law or by re-appreciation of evidence." 16. Supreme Court in case of "Associate Builders vs. Delhi Development Authority, (2015) 3 SCC 49" has held that the interference with an arbitral award is permissible only when the findings of the arbitrator are arbitrary, capricious or perverse or when conscience of the Court is shocked or when illegality is not trivial but goes & M/s OMAXE Ltd Vs Asha Saini (RAJ KUMAR CHAUHAN) District Judge (Commercial Court)-01 South-East, Saket, New Delhi.11.01.2022 Page no..... 33/64 to the root of the matter. It is held that once it

is found that the arbitrator's approach is neither arbitrary nor capricious, no interference is called for on facts. The arbitrator is ultimately a master of the quantity and quality of evidence while drawing the arbitral award. Patent illegality must go to the root of the matter and cannot be of trivial nature. Also was held therein that :-

"33. "...when a court is applying the 'public policy' test to an arbitration award, it does not act as a court of appeal and consequently errors of fact cannot be corrected. A possible view by the arbitrator on facts has necessarily to pass muster as the arbitrator is the ultimate master of the quantity and quality of evidence to be relied upon when he delivers his arbitral award.... Once it is found that the arbitrators approach is not arbitrary or capricious, then he is the last word on facts.." 17. In the case of "Swan Gold Mine vs Hindustan Copper,MANU/SC/0849/2014", the law laid in the case of Oil & Natural Gas Corporation Ltd. vs Saw Pipes Ltd., (2003) 5 SCC 705 was discussed and inter-alia held that when the parties have entered into concluded contract, agreeing terms and conditions of the said contract, they cannot back out and challenge the award on the ground that the same is against the public policy and the Court was precluded from re-appreciating the evidence and to arrive at different conclusion by holding that the arbitral award is & M/s OMAXE Ltd Vs Asha Saini (RAJ KUMAR CHAUHAN) District Judge (Commercial Court)-01 South-East, Saket, New Delhi.11.01.2022 Page no..... 34/64 against the public policy.

18. The Hon'ble Supreme Court of India in "PSA SICAL Terminals Pvt. Ltd. vs. The Board of Trustees of VO Chidambranar Port Trust Tuticorin & Ors., Civil Appeal No. 3699-3700/2018, judgment dated 28.07.2021" has revisited the law relating the intervention by the Courts u/s 34 of the Arbitration Act and findings recorded in para no. 42, 43 and 44 are reproduced as under:-

"42. It will thus appear to be a more than settled legal position, that in an application under Section 34, the court is not expected to act as an appellate court and re-appreciate the evidence. The scope of interference would be limited to grounds provided under Section 34 of the Arbitration Act. The interference would be so warranted when the award is in violation of public policy of India, which has been held to mean the fundamental policy of Indian law. A judicial intervention on account of interfering on the merits of the award would not be permissible. However, the principles of natural justice as contained in Section 18 and 34(2)(a) (iii) of the Arbitration Act would continue to be the grounds of challenge of an award. The ground for interference on the basis that the award is in conflict with justice or morality is now to be understood as a conflict with the most basic notions of

morality or justice. It is only such arbitral awards that shock the conscience of the court, that can be set aside on the said ground. & M/s OMAXE Ltd Vs Asha Saini (RAJ KUMAR CHAUHAN) District Judge (Commercial Court)-01 South-East, Saket, New Delhi.11.01.2022 Page no..... 35/64 An award would be set aside on the ground of patent illegality appearing on the face of the award and as such, which goes to the roots of the matter. However, an illegality with regard to a mere erroneous application of law would not be a ground for interference. Equally, re-appreciation of evidence would not be permissible on the ground of patent illegality appearing on the face of the award.

43. A decision which is perverse, though would not be a ground for challenge under public policy of India, would certainly amount to a patent illegality appearing on the face of the award. However, a finding based on no evidence at all or an award which ignores vital evidence in arriving at its decision would be perverse and liable to be set aside on the ground of patent illegality.

44. To understand the test of perversity, it will also be appropriate to refer to paragraph 31 and 32 from the judgment of this Court in Associate Builders (supra), which read thus :-

45. The third juristic principle is that a decision which is perverse or so irrational that no reasonable person would have arrived at the same is important and requires some degree of explanation. It is settled law that where: (i) a finding is based on no evidence, or (ii) an Arbitral Tribunal takes into account something irrelevant to & M/s OMAXE Ltd Vs Asha Saini (RAJ KUMAR CHAUHAN) District Judge (Commercial Court)-01 South-East, Saket, New Delhi.11.01.2022 Page no..... 36/64 the decision which it arrives at; or (iii) ignores vital evidence in arriving at its decision, such decision would necessarily be perverse.

46. A good working test of perversity is contained in two judgments. In Excise and Taxation Officer−cum−Assessing Authority v. Gopi Nath & Sons [1992 Supp (2) SCC 312], it was held: (SCC p.

317, para 7) "7..... It is, no doubt, true that if a finding of fact is arrived at by ignoring or excluding relevant material or by taking into consideration irrelevant material or if the finding so outrageously defies logic as to suffer from the vice of irrationality incurring the blame of being perverse, then, the finding is rendered infirm in law. In Kuldeep Singh v. Commr. of Police [(1999) 2 SCC 10: 1999 SCC (L&S) 429], it was held:

(SCC p. 14, para 10) "10. A broad distinction has, therefore, to be maintained between the decisions which are perverse and those which are not. If a decision is

arrived at on no evidence or evidence which is thoroughly unreliable and no reasonable person would act upon it, the order would be perverse. But if there is some evidence on record which is acceptable and which could be relied upon, howsoever compendious it may be, the conclusions would not be treated as perverse and the findings & M/s OMAXE Ltd Vs Asha Saini (RAJ KUMAR CHAUHAN) District Judge (Commercial Court)-01 South-East, Saket, New Delhi.11.01.2022 Page no..... 37/64 would not be interfered with." 19. In view of the law referred above and the arguments advanced at bar and also the written submissions submitted by the parties as discussed above, I have examined the findings recorded by the Learned Arbitrator to find out if the said finding is liable to be set aside on the grounds raised in the petition by the petitioner and also discussed above. 20. As is evident from the oral arguments advanced by the Ld Senior counsel for the petitioner as well as written arguments, the petitioner has primarily challenged the impugned award in both the petitions on the ground that :- i. Firstly, Ld arbitrator has traveled beyond the reference order of the Hon. High Court by which Ld Sole Arbitrator was appointed because it has relied the alleged agreement contained in the allotment application and has ignored the buyer's agreement dated 02.02.2012 and 09.02.2012 on the basis of which the arbitration notice was issued and Arbitrator was appointed. Ld Arbitrator has ignored the novation of initial agreement by subsequent buyer's agreement dated 02.02.2012 and 09.02.2012 ii. Secondly, the compensation of award is more than the price of the flat which makes the & M/s OMAXE Ltd Vs Asha Saini (RAJ KUMAR CHAUHAN) District Judge (Commercial Court)-01 South-East, Saket, New Delhi.11.01.2022 Page no..... 38/64 impugned award patently illegal and against the moral and justice. iii. Thirdly, Ld Arbitrator has wrongly applied the judgments of National Consumer Disputes Redressal Commission and has granted the compensation while ignoring the penalty clause which is itself contained in the buyer's agreement in clause 28 (e). iv. Lastly , the notice of invoking the arbitration as well as claim petition are barred by limitation and Arbitration Tribunal does not have the power to condone the delay under section 14 of the Limitation Act. 21. Regarding the first challenge to the award, During arguments Ld Senior Counsel for the petitioner has referred and relied upon the terms and conditions in para no. 17, 21 & 22 of the basic terms and conditions appended to the application form. Para no. 17, 21 and 22 are reproduced as under:- "Para no. 17: The Company shall endeavor to give possession of the Residential Flat to the applicant within 30 (Thirty) months or within an extended period of six months, from the date of execution of Buyer's Agreement, subject to force majeure circumstances and reasons beyond the control of the Company with a reasonable extension of time for possession. & M/s OMAXE Ltd Vs Asha Saini (RAJ KUMAR CHAUHAN) District Judge (Commercial Court)-01 South-East, Saket, New

Delhi.11.01.2022 Page no..... 39/64 Para no.21: Detailed terms and conditions shall from part of the Buyer's Agreement which the applicant shall execute as and when required by the company. Para no. 22: To settle any confusion regarding any matter herein or anything being not covered/clarified herein. It is agreed by the applicant that reference shall be made to the detailed terms of the Allotment letter/ Buyer's Agreement the terms. Whereof have been seen, read and understood/accepted by the applicant. " 22. Ld counsel has further referred the clause-28(a) of the buyer's agreement dated 09.02.2012 (relating to flat no. 706) and dated 02.02.2012 (relating to flat no.602) respectively. Clause 28(a) is reproduced as under:-

"28(a): That the Company shall complete the development/construction of the Flat within a period of Thirty months from the date of Signing of this Agreement by the Buyer (s) or within an extended period of six months, subject to force majeure conditions [as mentioned in Clause (b) hereunder] and subject to other Flat Buyer (s) making timely payment or subject to any other reasons beyond the control of the Company. No claim by way of damages/compensation shall lie against the Company in case of delay in handing over the possession on account of any of the aforesaid reasons and the Company shall be entitled to a & M/s OMAXE Ltd Vs Asha Saini (RAJ KUMAR CHAUHAN) District Judge (Commercial Court)-01 South-East, Saket, New Delhi.11.01.2022 Page no..... 40/64 reasonable extension of time for the delivery of possession of the said Flat to the Buyer(s). " 23. Ld counsel for the petitioner has also referred and relied upon the reference order of Hon. High Court dated 12.12.2017 stressing that Ld Arbitrator was required to confine to the dispute if any arising out of buyer's agreement only.

24. Regarding first challenge, Ld Arbitrator has framed the issues no. 1, 1A and 1B. I have examined the findings returned by the Ld Arbitrator starting from para no. 22 to 34. In para no. 25 it is stated that in this case when the prescribed form application was filled up by the claimant on 21.03.2006, claimant had made an offer to buy a flat and same is accepted when claimant made the payment for a sum of Rs. 4,53,750 by means of a cheque , the same was accepted by the respondent, so the contract had come into existence. As per the terms and conditions, mode of further payment was also prescribed which was construction Link Plan (CLP) and various demand letters issued by the respondent also contains the same. In para no. 32, it was further held that :-

"32. ..... It is well settled that the facts of offer and acceptance must be founded on three components i.e "certainty, commitment and communication". In this case when application form was made the claimant was provided with the basic terms

and & M/s OMAXE Ltd Vs Asha Saini (RAJ KUMAR CHAUHAN) District Judge (Commercial Court)-01 South-East, Saket, New Delhi.11.01.2022 Page no..... 41/64 conditions and thereafter the claimant submitted her application which was accepted without any disqualification, when the respondent started accepting payments alongwith application as well as, as per construction link program on different dates indicating the completion of the stages of the construction. Thus all the three components of offer and acceptance came in existence on 23.03.2006 itself and contract had been concluded. " 25. It was further held in para no. 33 and 34 as under:-

"33: Merely signing of "Buyer's Agreement" at a later date I.e 09.02.2012, the same cannot supersede the offer and acceptance which had already taken place. Under these circumstances I am of a considered view that all the documents are to be read in combined manner to draw a conclusion as to when the contract had been concluded. The fact that application was submitted on 23.03.2006 alongwith advance payment of 20% I.e Rs.4,53,750/- and thereafter the payments were made on 27.09.2007, 22.07.2008, 27.09.2008, 18.11.2008 and 30.01.2009. All the payments which were made after 23.03.2006 had been accepted by the & M/s OMAXE Ltd Vs Asha Saini (RAJ KUMAR CHAUHAN) District Judge (Commercial Court)-01 South-East, Saket, New Delhi.11.01.2022 Page no..... 42/64 respondent, the same had been accepted in pursuance of the enforceable agreement which came into existence on the acceptance of first payment made on 23.03.2006. Thus, I am of the considered opinion that all these documents, right from the beginning on 23.03.2006 till 09.02.2012 only the delivery of possession of flat was deferred I.e after 30 months from 23.03.2006 when the "Buyer's Agreement" was executed which also form part and parcel of the contract for sale of flat by the respondent in favour of claimant. The " Buyer's Agreement" was not a new thing. I tis continuation of the existing agreement of 23.03.2006. The "Buyer's Agreement" could not include any clause contrary to the existing agreement and could not change the period of delivery of possession of flat. 34: Now it is to be seen whether respondent failed to deliver the possession in terms of contract I hold that respondent was supposed to deliver the possession of flat within 30 months from the date of acceptance of payment alongwith application dated 23.03.2006. The fact that & M/s OMAXE Ltd Vs Asha Saini (RAJ KUMAR CHAUHAN) District Judge (Commercial Court)-01 South-East, Saket, New Delhi.11.01.2022 Page no..... 43/64 the possession was given in January, 2014 shows that there was inordinate delay on the part of the respondent in delivery of possession of flat. Issues are answered accordingly. " 26. Clause-49 of Builder buyer's agreement provides the dispute resolution between the parties as under:-

"49: All or any disputes arising out of or touching upon or in relation to the terms of this Agreement including the interpretation and validity of the terms thereof and the respective rights and obligations of the parties shall be settled amicably by mutual discussion failing which the same shall be settled through arbitration. The arbitration proceedings shall be governed by the Arbitration & Conciliation Act, 1996 and/or any statutory amendments/modifications thereof for the time being in force. The Arbitration proceedings shall be held at an appropriate location in Delhi/ New Delhi. " 27. It is evident from the arbitration clause that Ld Arbitrator was competent to adjudicate upon the dispute & M/s OMAXE Ltd Vs Asha Saini (RAJ KUMAR CHAUHAN) District Judge (Commercial Court)-01 South-East, Saket, New Delhi.11.01.2022 Page no..... 44/64 arising about or touching upon the interpretation and validity of the terms and conditions thereof and respective rights and obligations of the parties. The question arises whether the view taken by the Ld Arbitrator is plausible view in the given facts and circumstances of the case as is decided by him while deciding issue no. 1, 1A and 1B. Admittedly, this court cannot sit in the appeal on the findings recorded by the Ld Arbitrator on these issues and by no stretch of imagination it can be concluded that view taken by the Ld Arbitrator on the issue no. 1, 1A and 1B regarding challenge no.1 to the award by the Ld Counsel for the petitioner is not a plausible view in the given facts and circumstances of the case. Ld Arbitrator has appreciated all the facts and circumstances and the documents concerning the rights and duties of the parties under the agreement between them for allotment of the flats by the respondent. Ld Arbitrator has also very meticulously examined the provisions of the law applicable therein. Therefore, the findings, so recorded by the Ld Arbitrator does not deserve any interference by this court and Ld arbitrator has rightly held that period of handing over the possession will be calculated from the executed agreement contained in the application form dated 21.03.2006 including the terms and conditions appended therein.

28. Regarding the contention of novation of agreement, the said point has been considered and & M/s OMAXE Ltd Vs Asha Saini (RAJ KUMAR CHAUHAN) District Judge (Commercial Court)-01 South-East, Saket, New Delhi.11.01.2022 Page no..... 45/64 adjudicated upon by the Ld Arbitrator in para no. 37 which is reproduced as under:-

"37: In my view this plea of the respondent is not available to him because the so called agreement dated 09.02.2012 does not amount to novation of the agreement for which offer was made on 23.03.2006. On the contrary the "Buyer's Agreement " is a continuation of the earlier agreement which came into existence when the offer was made by claimant on 23.03.2006 and the same had been accepted by the

respondent not only on receiving earnest money but also with subsequent letters of demand which had been complied with and payment has been received by the respondent. The agreement dated 09.02.2012 does not alter the contract which was in existence neither there was any occasion. The only fact of agreement dated 09.02.2012 was a crude attempt on part of the respondent to wriggle out of the time condition for delivery of flat. " 29. Again view taken by the Ld Arbitrator regarding alleged novation of agreement dated 23.03.2006, by & M/s OMAXE Ltd Vs Asha Saini (RAJ KUMAR CHAUHAN) District Judge (Commercial Court)-01 South-East, Saket, New Delhi.11.01.2022 Page no..... 46/64 buyer's agreement dated 09.02.2012, is most plausible view in the given facts and circumstances and there is nothing that the said view and findings needs to be interfered by this court.

30. Regarding challenge no. 2&3 to the award by the Ld counsel for the petitioner, Issue no.2 in petition no. 53/19 and issue no. 4 in petition no. 50/19 was framed and adjudicated by the Ld Arbitrator in para no. 35 to 49. The entire findings of issues started from para no. 35 to 49 are relevant for appreciating the reasoning and is reproduced as under:-

35: This issue relates to the facts that whether the claimant is entitled to damages or compensation for delay in delivery of flats. The entitlement of any damages or compensation again depends upon the fact, that whether the claimant is entitled for possession of the flat as per document dated 23.03.2006 read with basic terms and conditions or agreement dated 09.02.2012 (Agreement dated 02.02.2012 in petition no. 50/19) has any overriding effect on the document dated 23.03.2006. As already held above that the claimant had submitted an application for allotment of flat after going through the & M/s OMAXE Ltd Vs Asha Saini (RAJ KUMAR CHAUHAN) District Judge (Commercial Court)-01 South-East, Saket, New Delhi.11.01.2022 Page no..... 47/64 basic terms and conditions. The submitting of application form and signing of the basic terms and condition can be very well said that the claimant had made a valid offer as per the Contract Act to buy a flat from the respondent. The application also contained the mode of payment by the claimant to the respondent which can be described as 'Construction Link Plan' for payment of consideration for the purchase of flat. The respondent accepted the payments made by the claimant from time to time. Thus, the respondent had impliedly and in unequivocal terms had accepted the offer made by claimant for purchase of flat. By accepting the payments the respondent had agreed to sell and deliver the flat to the claimant within 30 months, when respondent accepted the first payment. It is pertinent to mention here that the view of the contract and in view of the acceptance having being made by the respondent, the respondent had also been issuing various letters of demand on different dates to enforce the contract, much before signing of the alleged & M/s

OMAXE Ltd Vs Asha Saini (RAJ KUMAR CHAUHAN) District Judge (Commercial Court)-01 South-East, Saket, New Delhi.11.01.2022 Page no..... 48/64 agreement dated 09.02.2012 (Agreement dated 02.02.2012 in petition no. 50/19). It is also pertinent to mention that since payments were to be made by the claimant under the "Construction Link Program" so respondent while making demand had made the claimant believe that the simultaneous construction has reached to stage when the demand letter were issued. Claimant could believe that the second installment has been raised within 60 days of the allotment and third demand has been raised on casting of 2nd floor and 4th demand has been raised on casting on 3 rd floor and so on, and the last payment which is alleged to have not been paid was to be made only when offer of possession was to come from the respondent. The entire payment had been received by the respondent on 29.01.2009 except for the last payment. Since last payment was not linked with construction plan as the same is linked with the offer of possession. The claimant could expect that within 6 months from 30.01.2009 he would get the possession of flat. However, the respondent did not honour his & M/s OMAXE Ltd Vs Asha Saini (RAJ KUMAR CHAUHAN) District Judge (Commercial Court)-01 South-East, Saket, New Delhi.11.01.2022 Page no..... 49/64 commitment and did not offer possession within 30 months, nor even after having 6 months as grace period. The documents on record show that the respondent had been insisting and had also exercised coercion to get " Buyer's Agreement" signed from the claimant. It is quite evident that the respondent was interested to get the agreement signed first as the respondent knew very well, that the clauses in the agreement were so cleverly drafted so that the respondent may wriggle out of his commitment to hand over the possession within 30 months.

36: The respondent has also contended that the application for allotment was only a proposal by the claimant for allotment of flat. It did not constitute an agreement, assuming for the sake of arguments, the application is treated to be an offer which was accepted then also the respondent need not request to perform the said alleged agreement as it was novated by subsequent agreement dated 09.02.2012 (Agreement dated 02.02.2012 in petition no. 50/19).

37: In my view this plea of the & M/s OMAXE Ltd Vs Asha Saini (RAJ KUMAR CHAUHAN) District Judge (Commercial Court)-01 South-East, Saket, New Delhi.11.01.2022 Page no..... 50/64 respondent is not available to him because the so called agreement dated 09.02.2012 (Agreement dated 02.02.2012 in petition no. 50/19) does not amount to novation of the agreement for which offer was made on 23.03.2006. On the contrary the "Buyer's Agreement " is a continuation of the earlier agreement which came into existence when the offer was made by claimant on 23.03.2006 and the same had been accepted by the respondent not only on

receiving earnest money but also with subsequent letters of demand which had been complied with and payment has been received by the respondent. The agreement dated 09.02.2012 (Agreement dated 02.02.2012 in petition no. 50/19) does not alter the contract which was in existence neither there was any occasion. The only fact of agreement dated 09.02.2012 (Agreement dated 02.02.2012 in petition no. 50/19) was a crude attempt on part of the respondent to wriggle out of the time condition for delivery of flat. 38: It is a common knowledge that the builders in such a situation had been exploiting the investors and after & M/s OMAXE Ltd Vs Asha Saini (RAJ KUMAR CHAUHAN) District Judge (Commercial Court)-01 South-East, Saket, New Delhi.11.01.2022 Page no..... 51/64 receiving money in such like projects from the innocent investors had been putting in use the money of investors to other projects. Such type of tactics used by builders had been adversely commented upon by Hon'ble Supreme Court as well as by National Consumer Disputes Redressal Commission in one such by case " Yogesh Sharma Vs. Unitech Limited".

"Where also the builder had obtained signature on agreement when over the terms which were beneficial only to the builder. The court observed " it is an undisputed proposition of law that ordinarily the parties are bound to the terms and condition on the contract "voluntarily" agreed by them and it is not for a consumer forum or even a court to revise the said terms" (emphasis supplied) the national forum further observed "however, a terms of a contract will not be final and binding, if it is shown that the consent to the said term was not really voluntary but was given under a sort of compulsion on account of the person giving consent being left with no other & M/s OMAXE Ltd Vs Asha Saini (RAJ KUMAR CHAUHAN) District Judge (Commercial Court)-01 South-East, Saket, New Delhi.11.01.2022 Page no..... 52/64 choice or if the said term amounts to an unfair trade practice". 39: In the present case also it is evident from the record that claimant was not willing to sign the agreement dated 09.02.2012 (Agreement dated 02.02.2012 in petition no. 50/19). But the respondent put pressure, coercion and undue influence to obtain the signature of the claimant. So much the claimant who had gone to the police to file a complaint against the respondent was not being given possession of the flat until and unless that complaint has withdrawn the complaint and until claimant had signed the agreement dated 09.02.2012 (Agreement dated 02.02.2012 in petition no. 50/19).

40: It can hardly be disputed that the certain terms which was incorporated in the agreement dated 09.02.2012 (Agreement dated 02.02.2012 in petition no. 50/19) amounted to extend the period of delivery of flat which infact amounts to adoption of unfair trade practice on the part of the respondent.

41: The respondent has also pleaded when & M/s OMAXE Ltd Vs Asha Saini (RAJ KUMAR CHAUHAN) District Judge (Commercial Court)-01 South-East, Saket, New Delhi.11.01.2022 Page no..... 53/64 a contract has been broken, if a sum is named in the contract as the amount to be paid in case of such breach, or if the contract contains any other stipulation by way of penalty, the party complaining of the breach is entitled, whether or not actual damages or loss is proved to have been caused thereby to receive from the party who has broken the contract reasonable compensation not exceeding the amount so named or as the case may be penalty stipulated for.

42: The counsel for the respondent further submitted that as per clause-21 dated 09.02.2012 (Agreement dated 02.02.2012 in petition no. 50/19) respondent can be said to be liable to pay only of Rs. 5/- per sq.fit.

43: In my view even this plea of the respondent is not tenable as national forum in the above referred judgment had also observed about damages to be assessed and about Rs. 5/- sq. ft the court observed as under:

" .....However, a term of contract, in my view will not be final and binding if it is shown that the consent & M/s OMAXE Ltd Vs Asha Saini (RAJ KUMAR CHAUHAN) District Judge (Commercial Court)-01 South-East, Saket, New Delhi.11.01.2022 Page no..... 54/64 to the said term was not really voluntary but was given under a sort of compulsion on account of the persons giving consent being left with no other choice or if the said term amounts to an unfair trade practice. It was submitted by the learned counsel for the complainant that the term providing for payment of a nominal compensation such as Rs. 5/- per square foot of the super area having become the order of the day in the contracts designed by big builders, a person seeking to buy an apartment is left with no option but to sign on the dotted lines since the rejection of such term by him would mean cancellation of the allotment. Since the contracts of all the big builders contain a term for payment of a specified sum as compensation in the event of default on the part of the builder in handing over possession of the flat to the buyer and the flat compensation offered by all big builders is almost a nominal compensation being less than 2.5% & M/s OMAXE Ltd Vs Asha Saini (RAJ KUMAR CHAUHAN) District Judge (Commercial Court)-01 South-East, Saket, New Delhi.11.01.2022 Page no..... 55/64 of the estimated cost of construction per month, the flat buyer is left with no option but to sign the Buyer's Agreement in the format provided by the builder. No sensible person will volunteer to accept compensation constituting about 2-3% of his investment in case of delay on the part of the contractor, when he is made to pay 18% compound interest if there is delay on his part in making payment. " 44: As I have already observed above

that in this case the process of entering into contract started from 21.03.2006 when claimant made an application, indicating his offer to buy a flat from the respondent. The said offer was accepted by the respondent when respondent not only accepted the payment earnest money but also had given a plan to the claimant for making further payments in construction link plan and installments linked with the stage of construction at every step. 45: The fact that claimant had been making regular payment has been & M/s OMAXE Ltd Vs Asha Saini (RAJ KUMAR CHAUHAN) District Judge (Commercial Court)-01 South-East, Saket, New Delhi.11.01.2022 Page no..... 56/64 accepted by the respondent. The respondent has by using the arm twisting method had procured the signatures of the claimant on so called buyer's agreement dated 09.02.2012 (Agreement dated 02.02.2012 in petition no. 50/19) with a malafide intention to over ride the terms and conditions which were initially agreed upon. There are documents on record which shows, when the respondent had refused to hand over possession until and unless the claimant puts her signature on the dotted line and just to avoid their obligation to hand over timely possession. 46: The delay so caused by the respondent is also abnormal delay as according to the documents related to offer and acceptance. The possession should have been delivered within 30 months from 23.03.2006, at the most 6 months period could have been added as grace period. However, the possession has been given somewhere in January, 2014 when offer for the possession was made to the claimant. Sale Deed was executed on 08.01.2014. Thus I am of the considered opinion that the delay in handing over of & M/s OMAXE Ltd Vs Asha Saini (RAJ KUMAR CHAUHAN) District Judge (Commercial Court)-01 South-East, Saket, New Delhi.11.01.2022 Page no..... 57/64 possession has been caused by the respondent and claimant is entitled to damages/compensation for delay delivery of possession.

47: As far quantum of damages is concerned the claimant has based its demand for damages and compensation alleging the claimant is entitled to claim interest and damages on the payment of Rs.21,57,068/- as per legal notice, which he had paid to the respondent and claim interest @ 24% as the same rate the respondent were charging interest from customers for delay in making payment. Thus, the total sum of Rs. 26,74,765/- (Rs. 28,98,581/- in petition no.50/19) is being claimed as interest for the period for November, 2008 till 08.01.2014. A legal notice to same effects was also issued to the respondent. Respondent denied they are liable to pay any interest of damages and whatever the disputes were there the claimant had voluntarily accepted the possession of the flat and sale deed was executed in favour as such claimant stopped claim any damages.

48: In my view the plea of the respondent & M/s OMAXE Ltd Vs Asha Saini (RAJ KUMAR CHAUHAN) District Judge (Commercial Court)-01 South-East, Saket, New Delhi.11.01.2022 Page no..... 58/64 that the claimant is estopped to demand any damages has no merits because the respondent is not permitted to take shelter under buyer agreement dated 09.02.2012 (Agreement dated 02.02.2012 in petition no. 50/19) or the so called settlement arrived under coercion. Respondent after having accepted payments from the claimant in a "Construction Link Plan"

was supposed to handover the possession within 30 months from 23.03.2006, at the most respondent could be allowed 6 months grace period. The respondent should have delivered the flat by 23.03.2009. Failure to handover the possession within time has occurred and there was callous delay on the part of respondent and respondent is liable to pay interest w.e.f 01.04.2009 on the amount paid by the claimant as damages/compensation. 49: As per rate of interest on damages/compensation is concerned the claimant has claimed interest @24% on the plea that respondent had been charging interest on delayed payment @ 24%. Claimant was also compelled to pay a sum & M/s OMAXE Ltd Vs Asha Saini (RAJ KUMAR CHAUHAN) District Judge (Commercial Court)-01 South-East, Saket, New Delhi.11.01.2022 Page no..... 59/64 of Rs. 46,022/-(Rs. 29,438/- in petition no.50/19) as interest for late payment @ 24%. However, in my view as far the grant of damage is concerned this stands on different footings for the purposes of calculation damages for amount retained by the respondent. I find if damages are allowed by means of the interest @ 24% that would amount to an unconscious grant of compensation. Damage cannot be compared at par with interest rate. Under these circumstances I find that if damages/compensation is allowed @ 15% that would meet the ends of justice because this commercial transaction. Further, the claimant also placed before me a judgment passed by NCDRC in case title as Yogesh Sharma Versus Unitech Ltd, wherein, NCDRC has awarded interest at the rate of 18% per annum. Hence I hold that the claimant is entitled to damages as interest on his investment at the rate of 15% per annum w.e.f 23.09.2009 (i.e after competition of reasonable time for handing over the possession from 23.03.2006 till the actual date of handing over the possession & M/s OMAXE Ltd Vs Asha Saini (RAJ KUMAR CHAUHAN) District Judge (Commercial Court)-01 South-East, Saket, New Delhi.11.01.2022 Page no..... 60/64 08.01.2014) which comes to Rs. 13,46,011/- rounded to Rs. 13,46,000/- (Rs. 14,98,997/- rounded to Rs.14,99,000/- in petition no.50/19). Issue decided." 31. On perusal of entire findings of the Ld Arbitrator on issue no. ii and iv respectively, I am of the considered opinion that view taken by the Ld Arbitrator in the given facts and circumstances is most plausible view. By granting the compensation in the form of interest on the amount deposited by the claimant @ 15% p.a, Ld Arbitrator has committed no illegality and the said findings and view

taken by the Ld Arbitrator does not suffer from any illegality and is not against the justice and morality, therefore required no interference by this court.

32. Regarding the last challenge to the award, issue no. vii and v in respective petitions has been framed and disposed off in para no. 54. It was argued on behalf of petitioner that even notice for arbitration and claim made before the Ld Arbitrator were barred by limitation because cause of action had arisen allegedly in favour of claimant after expiry of 30 months and 6 months of grace period from 23.03.2006 or from the date of handing over the possession in January 2014. The notice should has been issued for initiation of arbitration on 08.01.2014 but notice under section 21 of the Arbitration Act was issued on & M/s OMAXE Ltd Vs Asha Saini (RAJ KUMAR CHAUHAN) District Judge (Commercial Court)-01 South-East, Saket, New Delhi.11.01.2022 Page no..... 61/64 22.08.2017 beyond the period of 3 years.

33. Ld counsel for the respondent on the other hand argued that the claimant has instituted the civil suit within the period of limitation before Hon. High Court which was subsequently transferred to the District Court Saket wherein the petitioner/non-claimant has filed an application under section 8 of the Arbitration Act and on the basis of which parties were referred to arbitration and after the petitions of the claimant was dismissed by the Hon. High Court, challenging order on application u/s 8 of the Arbitration Act, the claimant /respondent herein has taken steps for issuance of notice u/s 21 of the Arbitration Act within the reasonable time and without wasting any time. It is therefore argued that time consumed while pursuing the remedies diligently in the court of law has to be excluded from the period of limitation under section 14 of Limitation Act. It was argued on behalf of petitioner that Ld Arbitrator has no power to exclude the period of limitation and condone the delay under section 14 of the Limitation act. However, except mere arguments in that regard nothing has been brought to the notice of the court to show that Ld Arbitrator/chosen forum of adjudication by the parties cannot consider the condonation of delay under section 14 of Limitation act. Admittedly no application seeking condonation of delay was filed by the claimant. However, there is no bar to exercise the power by the Ld Arbitrator on the basis of statutory provisions and the Ld & M/s OMAXE Ltd Vs Asha Saini (RAJ KUMAR CHAUHAN) District Judge (Commercial Court)-01 South-East, Saket, New Delhi.11.01.2022 Page no..... 62/64 Arbitrator has therefore rightly concluded that claimant has gone to the civil court by mistake of law and had filed a civil suit which was rejected on the basis of the application filed by the respondent under the Arbitration Act . It is further observed that time taken by the claimant

before civil court also has to be excluded for filing the present claim petitions. Therefore, petition are held to be within limitation.

34. Again this view taken by the Ld Arbitrator regarding the question of limitation is most plausible view in the given facts and circumstances and law applicable to the question. The findings returned on the issue regarding limitation does not deserve any interference of this court.

35. Relying upon the law laid in the cases of "(i) Associate Builders (supra); (ii) Swan Gold Mine vs Hindustan Copper (supra); (iii) Oil & Natural Gas Corporation Ltd. vs Saw Pipes Ltd., (supra) and (iv) PSA SICAL Terminals Pvt. Ltd. vs. The Board of Trustee of VO Chidambranar for Trust Tuticorin & Ors.(supra)", it can be said that not only the reasoning of the Ld. Arbitrator are logical, but all the material and documents were taken note of by the Ld. Arbitrator and this Court cannot substitute its own evaluation of conclusion of law or fact to come to the conclusion other than that of the Ld. Arbitrator. Cogent grounds, sufficient reasons have been assigned by Ld. Arbitrator in reaching the just conclusion and no error of law or misconduct is & M/s OMAXE Ltd Vs Asha Saini (RAJ KUMAR CHAUHAN) District Judge (Commercial Court)-01 South-East, Saket, New Delhi.11.01.2022 Page no..... 63/64 apparent on the face of the record. This Court cannot reappraise the evidence and it is not open to this Court to sit in the appeal over the conclusion/findings of facts arrived at by Ld. Arbitrator. Re-appraisal of the matter cannot be done by this Court. No error is apparent in respect of the impugned award. I do not find any contradiction in the observations and findings given by Learned Arbitrator. There is no patent illegality or legal perversity in the Award. The award is not against any public policy nor against the terms of contract of the parties. No ground for interference is made out. None of the grounds raised by the petitioner attract Section 34 of the Act.

36. For the foregoing reasons, both the petitions are hereby dismissed. The parties are left to bear their own costs.

37. Signed copy of this order be placed in petition OMP (COMM) no. 53/19.

38. File be consigned to record room.[Cites 3, Cited by 0] National Consumer Disputes Redressal Naveen Lal Chopra & Anr. vs Pioneer Urban Land & Infrastructure ... on 16 December, 2024 NATIONAL CONSUMER DISPUTES REDRESSAL COMMISSION NEW DELHI CONSUMER CASE NO. 742 OF 2020 1. NAVEEN LAL CHOPRA & ANR. .....Complainant(s) Versus 1. PIONEER URBAN LAND & INFRASTRUCTURE LIMITED .....Opp.Party(s) BEFORE: HON'BLE MR.

JUSTICE SUDIP AHLUWALIA,PRESIDING MEMBER HON'BLE MR. ROHIT KUMAR SINGH,MEMBER FOR THE COMPLAINANT : MR. ADITYA PAROLIA, ADVOCATE MS. SUMBUL ISMAIL, ADVOCATE FOR THE OPP. PARTY : MR. TVS RAGHAVENDRA SREYAS, ADVOCATE MR. SIDDHARTH VASUDEV, ADVOCATE. Dated : 16 December 2024 ORDER

JUSTICE SUDIP AHLUWALIA, MEMBER

This Consumer Complaint has been filed under Section 21 r/w Section 12(a) of the Consumer Protection Act, 1986 alleging deficiency in service on the part of the Opposite Party and, seeking delay compensation along with ancillary reliefs.

2. The factual background, in brief, is that the Complainants purchased a residential unit in the project "Araya" located in Sector 62, Gurgaon, Haryana. The Opposite Party advertised the project as an ultra-luxurious housing development in a prime Gurgaon location. The project promised state-of-the-art amenities, including 3, 4, and 5 BHK apartments and penthouses, home automation systems, and high-end recreational facilities such as a clubhouse, swimming pool, gymnasium, landscaped gardens, and more. The Complainants initially acquired the Unit bearing No. A-3101 in Tower A, having a super area of 4690 sq. ft. from the original allottees, Mr. Ashwani Handa and Ms. Kriti Handa, through an Agreement to Sale dated 08.06.2013. The transfer was acknowledged and formalized by the Opposite Party via a letter dated 04.07.2013. The unit was originally allotted to the Handas under an Apartment Buyer Agreement dated 06.03.2012, which stipulated that possession would be delivered by July 2017. However, the possession was delayed by over a year and was finally offered in December 2018.

3. Upon seeking possession, the Opposite Party required the Complainants to make full and final payment and sign an indemnity bond before inspecting the unit or the project. Reluctantly, the Complainants complied, fearing penalties and potential cancellation of the allotment. Despite the assurances made by the Opposite Party, the promised amenities were incomplete, and no compensation for the delayed possession has been provided to date. The Complainants contend that they had purchased the unit intending to provide quality housing for their family in the NCR region. The prolonged delays and lack of promised amenities have deprived them of their right to enjoy the property, causing immense hardship and frustration. Aggrieved with the deficiency in service due

to delay in possession, the Complainants filed the present Complaint seeking the following reliefs -

"a) Direct the Opposite Party to pay interest @ 12% per annum as delayed compensation from the promised date of possession as per the Agreement i.e. from June, 2017 till the date the actual possession is handed over by the Opposite Party(s) along with all necessary documents and common areas and facilities as promised during the initial booking made by the Complainants;

b) Direct the Opposite Party to finish the construction of the project in a time bound manner and provide all the amenities and facilities as were promised in the agreement and brochure within 6 months;

c) Direct the Opposite Party to remove all the Holding Charges and other unnecessary charges levied by it immediately;

d) Direct the Opposite Party to reimburse the wrongly charged axes/charges/amounts from the complainants;

e) Direct the Opposite Party to pay compensation of INR. 5,00,000/- (Rupees Five Lakh only) to the Complainant(s) for mental agony, harassment, discomfort and undue hardships caused to the Complainant(s) as a result of the above acts and omissions on the part of the Opposite Party;

f) Direct the Opposite Party to pay a sum of INR. 1,00,000/- (Rupees One Lakh only) to the Complainant(s) in the Project "Araya" towards litigation costs..."

4. The Opposite Party has filed its Written Statement in which it has denied all the material averments made by the Complainants; The Opposite Party claims to have successfully completed notable projects such as "Pioneer Park" and "Presidia" both of which have received widespread acclaim. Regarding the "Araya" project, it is contended that three of the four towers have been completed and granted Occupation Certificates, including Tower 'A,' which is the subject of the current dispute. The Occupation Certificate for Tower 'A' was issued on July 23, 2018, and the possession was promptly offered to the Complainants on the same date. In acknowledgment of the delay in possession, a penalty amounting to Rs. 14,26,990/- was credited to the Complainants' account in accordance with Clause 11.5 of the Apartment Buyer's Agreement. The Complainants accepted possession on 20.12.2018, after making all necessary payments and signing a conveyance deed. The property was subsequently leased by the Complainants, which demonstrates that they have enjoyed the benefits of ownership since taking possession. The filing of the

present complaint in July 2020 is a baseless afterthought and amounts to malicious litigation.

5. The Opposite Party further contended in its Written Statement that the Complaint's foundation rests on the alleged incompleteness of the project and lack of promised amenities. However, it is emphasized that the common amenities and facilities for the completed towers are fully operational and are being utilized by the residents. Photographic evidence of these amenities has been provided. The remaining tower is under construction, and its status does not affect the usability of the facilities for the completed towers. The timeline for possession stipulated in the Apartment Buyer's Agreement, which provided for delivery within 45 months from the date of excavation, was always intended as tentative. Delays in construction were caused by factors beyond the Opposite Party's control. Among these were non-payment of dues by customers, disputes with contractors, water shortages, and delays in obtaining infrastructural support and regulatory approvals. The Opposite Party has highlighted significant challenges, including contractor disputes, labour shortages exacerbated by social schemes, water scarcity in Haryana, and restrictions on the availability of raw materials such as sand due to mining bans in the Aravali region. Additional delays were caused by events such as the Jat Reservation Agitation in 2016, compliance with National Green Tribunal orders to halt construction, and the economic disruptions caused by demonetization. It is further averred by the Opposite Party in its Written Statement that the Apartment Buyer's Agreement is binding on both parties, and the compensation already credited to the Complainants' account for the delay is in full compliance with the agreement. The Opposite Party also contends that any additional claims by the Complainants are unjustified and not supported by law. It is emphasized that claims for delay must be based on actual and proven losses, which the Complainants have failed to demonstrate.

6. Rejoinder on behalf of the Complainant to the Written Statement by the Opposite Party has been filed; It is averred in the rejoinder that the Opposite Party's reply is misconstrued, evasive, and baseless, attempting to deviate from the substantive issues raised in the Complaint. The Opposite Party is accused of raising frivolous and arbitrary contentions to obscure the inordinate delay in completing the project, failing to deliver timely possession of the unit, and not providing compensation for the delay. The Complainants assert that any extension of time can only be justified by factors beyond the Opposite Party's control, which is not the case here. The Complainants averred that their grievances are identical to previous disputes adjudicated by this Commission

against the same Opposite Party concerning the same project "Araya". These cases include "Geetu Gidwani Verma and Anr. vs. Pioneer Urban Land and Infrastructure Ltd, CC No. 238 of 2017" which was upheld by the Hon'ble Supreme Court in "Pioneer Urban Land and Infrastructure Ltd. v. Geetu Gidwani Verma & Anr., CA No. 1677 of 2019". Other relevant cases include "Rajvir Singh Rana & Anr. v. Pioneer Urban Land & Infrastructure Ltd, CC No. 1805 of 2018" and "Arun Gupta & Anr. v. Pioneer Urban Land & Infrastructure Ltd., CC No. 1159 of 2017".

7. The Complainants have further emphasized vide the rejoinder that the unit was purchased exclusively for residential purposes, and not for any commercial use, thus qualifying them as "consumers" under Section 2(d) of the Consumer Protection Act, 1986. Despite collecting the entire amount for the unit, the Opposite Party failed to complete construction and hand over possession by the promised date of July 2017. When possession was eventually offered on 20.12.2018, it was done haphazardly, with the project incomplete and lacking various promised amenities. The Opposite Party was unable to provide any valid reasons for the delay and assured the Complainants of due compensation, which has not been adequately provided to date.

8. Furthermore, even after the delayed possession was offered, the unit and the project lacked several facilities and amenities promised at the time of booking and outlined in the Agreement. Notably, the Opposite Party merged the exclusive clubhouse promised for "Araya" with another project, "Presidia" contrary to the initial assurances; Arbitrary charges were levied, including demands for an incomplete clubhouse and excessive electricity charges that contradict government-approved rates. The Complainants also incurred additional costs due to increased service tax, GST, VAT, and other charges resulting from the construction delays. Despite multiple requests, the Opposite Party failed to share its approved sanction plans showing the common and green areas. They also demanded advance maintenance charges for a year, even though various amenities and facilities remain incomplete. On-going construction poses health risks due to dust and other substances, causing serious concern for the Complainants and other residents.

9. Evidence by way of Affidavit has been filed by Complainant No. 1 Mr. Naveen Lal Chopra and Complainant No. 2 Mrs. Ashu Chopra; Evidence by way of Affidavit has been filed on behalf of Opposite Party by Mr. Rohit Sharma, Authorized Representative of the M/s Pioneer Urban Land & Infrastructure Ltd.

10. Ld. Counsel for Opposite Party has argued that the Complainants' prayer for additional compensation is not maintainable. The Complainants accepted possession of the unit on 20.12.2018 after the possession was offered on 23.07.2018. A conveyance deed was subsequently registered, transferring the unit to the Complainants, who have since leased the premises to a third party. Therefore, the filing of the present complaint in July 2020 is merely an afterthought, amounting to frivolous litigation; The Opposite Party has placed reliance on the judgment of the Hon'ble Supreme Court in "HUDA vs. Raje Ram, (2008) 17 SCC 407", in which it was held that subsequent allottees aware of delays and still accepting the allotment cannot be equated with the original allottees. Accordingly, the Complainants, as subsequent allottees, are not entitled to any additional compensation. Moreover, by accepting possession without protest and receiving the delay compensation in accordance with the Builder-Buyer Agreement, the Complainants are estopped from raising any further disputes regarding compensation.

11. Ld. Counsel for the Opposite Party has further argued that the Complaint focuses on an alleged incompletion of the project and non-providal of the promised amenities. However, it is noted that the "Araya" project consists of four towers, three of which, including the one relevant to the complaint, have been completed and granted Occupancy Certificates. Additionally, since the Complainants have leased the unit, the loss they suffered would at best be limited to rental income, which could be the only potential relief available, if any; That even in cases of refund where no possession has been offered, compensation is generally awarded at a rate of 6%, as observed by the Hon'ble Supreme Court and this Commission. For cases involving possession, as in the present case, compensation rates have been consistently lower. The Hon'ble Supreme Court in "Ghaziabad Development Authority vs. Balbir Singh, (2004) 5 SCC 65" emphasized that compensation in possession cases is necessarily less than that in refund cases. This Commission has previously awarded compensation at 4% in possession cases, such as in "RK Rahu v. Pioneer Urban Land and Infrastructure Ltd., CC No. 85 of 2016".

12. This Commission has heard both the Ld. Counsel for Complainants and the Opposite Party, and perused the material available on record.

13. The delay in handing over possession of the residential unit constitutes a fundamental breach of the Apartment Buyer's Agreement by the Opposite Party. As per the Agreement, possession was to be delivered by July 2017, but it was delayed by over a year, and possession was finally offered only in

December 2018. Such a delay caused not only financial losses to the Complainants but also mental agony and a disruption of their legitimate expectations. The Opposite Party's assertion that external factors contributed to the delay does not mitigate its liability, as these factors were foreseeable and should have been accounted for within the construction timeline or mitigated through effective planning.

14. The compensation for delay credited to the complainants' account as per Clause 11.5 of the Apartment Buyer's Agreement does not preclude their right to seek additional compensation under the Consumer Protection Act, 1986. It is well-established that the statutory rights of consumers cannot be limited by contractual clauses, particularly in cases where the service provider is demonstrably at fault. The delay compensation specified in the agreement is often a standard clause that fails to account for the actual financial losses, inconvenience, and mental agony suffered by the flat buyers due to the delay. Therefore, the Complainants are entitled to claim compensation that adequately reflects the severity of the delay and its associated consequences. Furthermore, the Opposite Party's contention that the Complainants have waived their right to seek additional relief by leasing the property is legally untenable. Leasing the property was a pragmatic decision by the Complainants to mitigate their financial losses caused by the delay. It does not, in any way, negate or diminish their grievance regarding the delayed possession or the incompleteness of the promised amenities. The Complainants' decision to lease the unit does not absolve the Opposite Party of its responsibility to compensate for the delay, particularly when the delay compensation under the Agreement is insufficient to address the full extent of the loss suffered.

15. The Complainants in the present case were deprived of the opportunity to use the property for their intended residential purposes for over a year, and even after possession was offered, the project remained incomplete with several promised amenities missing. Additionally, the Complainants have raised valid concerns regarding the Opposite Party's arbitrary charges, merging of the clubhouse with another project, and incomplete documentation, which further underscores the deficiency in service. These factors justify the need for additional compensation beyond what has been provided under the Agreement.

16. Therefore, this Commission is of the view that the complainants are entitled to seek compensation that reflects the totality of their losses, including the delay in possession, the incomplete delivery of promised amenities, and the mental agony caused by the Opposite Party's actions. The compensation already

credited to their account under the Agreement is insufficient to address these grievances.

17. As for the quantum of compensation that the Complainants are entitled to, the decision of the Hon'ble Supreme Court in "Arifur Rahman Khan v. DLF Southern Homes (P) Ltd., 2020 SCC OnLine SC 667" is being relied upon. The relevant extracts of the judgment are as under -

"69. For the above reasons we have come to the conclusion that the dismissal of the complaint by Ncdrc was erroneous. The flat buyers are entitled to compensation for delayed handing over of possession and for the failure of the developer to fulfil the representations made to flat buyers in regard to the provision of amenities. The reasoning of Ncdrc on these facets suffers from a clear perversity and patent errors of law which have been noticed in the earlier part of this judgment. Allowing the appeals in part, we set aside the impugned judgment and order of Ncdrc dated 2-7-2019 [Rasheed Ahmad Usmani v. DLF Ltd., 2019 SCC OnLine NCDRC 84] dismissing the consumer complaint. While doing so, we issue the following directions:

69.1. Save and except for eleven appellants who entered into specific settlements with the developer and three appellants who have sold their right, title and interest under the ABA, the first and second respondents shall, as a measure of compensation, pay an amount calculated @ 6 per cent simple interest per annum to each of the appellants. The amount shall be computed on the total amounts paid towards the purchase of the respective flats with effect from the date of expiry of thirty-six months from the execution of the respective ABAs until the date of the offer of possession after the receipt of the occupation certificate.

69.2. The above amount shall be in addition to the amounts which have been paid over or credited by the developer @ Rs 5 per square feet per month at the time of the drawing of final accounts.

69.3. The amounts due and payable in terms of Directions 69.1 and 69.2 above shall be paid over within a period of one month from the date of this judgment failing which they shall carry interest @ 9% p.a. until payment."

18. In view of the aforesaid discussion and in the light of the decision of the Hon'ble Supreme Court in "Arifur Rahman Khan" (supra), the Opposite Party is directed to pay to the Complainants delay compensation @ 6% p.a. on the total consideration price paid by the Complainants from the promised date of possession till the date the possession was offered within two months of the date of this Order. This delay compensation shall be over and above the

compensation provided under the Agreement. In the event of non-compliance by the Opposite Party, the interest rate shall be enhanced to 9% p.a.

19. The Opposite Party shall also pay to the Complainants an amount of Rs. 50,000/- towards litigation costs.

20. Pending application(s), if any, stand disposed off having been rendered infructuous.

.....J SUDIP AHLUWALIA PRESIDING MEMBER
..... ROHIT KUMAR SINGH MEMBER[Cites 57, Cited by 0]
Allahabad High Court Ratan Buildtech Pvt. Ltd. Thru. ... vs Anil Kumar on 4 September, 2025 Author: Pankaj Bhatia Bench: Pankaj Bhatia

HIGH COURT OF JUDICATURE AT ALLAHABAD, LUCKNOW BENCH

AFR

Reserved: 04.08.2025

& 08.08.2025

Pronounced: 04.09.2025

HIGH COURT OF JUDICATURE AT ALLAHABAD

LUCKNOW

RERA APPEAL No. - 72 of 2025

Ratan Buildtech Private Limited .. Appellant

Versus

Anil Kumar . Respondent

Counsel for Petitioner(s):

Prashant Kumar Singh, Sudeep Kumar

Counsel for Respondent(s):

CONNECTED WITH

RERA APPEAL DEFECTIVE No.18 of 2025

Ratan Buildtech Private Limited .. Appellant

Versus

Devendra Singh Rawat . Respondent

Counsel for Petitioner(s):

Prashant Kumar Singh, Sudeep Kumar, Twinkle Rajpal

Counsel for Respondent(s):

AND

RERA APPEAL DEFECTIVE No.19 of 2025

Ratan Buildtech Private Limited .. Appellant

Versus

Rajesh Bajaj . Respondent

Counsel for Petitioner(s):

Prashant Kumar Singh, Sudeep Kumar, Twinkle Rajpal

Counsel for Respondent(s):

AND

RERA APPEAL DEFECTIVE No.20 of 2025

Ratan Buildtech Private Limited .. Appellant

Versus

Umesh Pal . Respondent

Counsel for Petitioner(s):

Prashant Kumar Singh, Sudeep Kumar, Twinkle Rajpal

Counsel for Respondent(s):

AND

RERA APPEAL DEFECTIVE No.25 of 2025

Ratan Buildtech Private Limited .. Appellant

Versus

Vijay Singh Jadon . Respondent

Counsel for Petitioner(s):

Prashant Kumar Singh, Sudeep Kumar, Twinkle Rajpal

Counsel for Respondent(s):

Suryansh Narula, Anupama Bhadauria, Surabhi Rawat

AND

RERA APPEAL No. 41 of 2025

Ratan Buildtech Private Limited .. Appellant

Versus

Sandeep Verma . Respondent

Counsel for Petitioner(s):

Prashant Kumar Singh, Sudeep Kumar, Twinkle Rajpal

Counsel for Respondent(s):

AND

RERA APPEAL No. 42 of 2025

Ratan Buildtech Private Limited .. Appellant

Versus

Narendra Singh Negi . Respondents

Counsel for Petitioner(s):

Prashant Kumar Singh, Sudeep Kumar, Twinkle Rajpal

Counsel for Respondent(s):

AND

RERA APPEAL No.43 of 2025

Ratan Buildtech Private Limited .. Appellant

Versus

Dipanjan Mukhopadhyay and Ors . Respondents

Counsel for Petitioner(s):

Prashant Kumar Singh, Sudeep Kumar, Twinkle Rajpal

Counsel for Respondent(s):

Manish Singh, Azhar Ikram, Manish Singh

AND

RERA APPEAL No.44 of 2025

Ratan Buildtech Private Limited .. Appellant

Versus

Shubhi . Respondent

Counsel for Petitioner(s):

Prashant Kumar Singh, Sudeep Kumar, Twinkle Rajpal

Counsel for Respondent(s):

AND

RERA APPEAL No. 45 of 2025

(Old RERA Appeal Defective No.21 of 2025)

Ratan Buildtech Private Limited .. Appellant

Versus

Visnu Kumar Tiwari . Respondent

Counsel for Petitioner(s):

Prashant Kumar Singh, Sudeep Kumar, Twinkle Rajpal

Counsel for Respondent(s):

Anupama Bhadauria, Surabhi Rawat, Suryansh Narula

AND

RERA APPEAL No. - 70 of 2025

Radhika Bansal .. Appellant

Versus

Ratan Buildtech Private Limited . Respondent

Counsel for Petitioner(s):

Manish Singh, Azhar Ikram

Counsel for Respondent(s):

Sudeep Kumar, Mahima Pahwa

AND

RERA APPEAL No.73 of 2025

Ratan Buildtech Private Limited .. Appellant

Versus

Swati Maheshwari . Respondent

Counsel for Petitioner(s):

Prashant Kumar Singh,Sudeep Kumar

Counsel for Respondent(s):

AND

RERA APPEAL No.74 of 2025

Ratan Buildtech Private Limited .. Appellant

Versus

Kaushik Kumar . Respondent

Counsel for Petitioner(s):

Prashant Kumar Singh, Sudeep Kumar

Counsel for Respondent(s):

AND

RERA APPEAL No.75 of 2025

Ratan Buildtech Private Limited .. Appellant

Versus

Alok Soni . Respondent

Counsel for Petitioner(s):

Prashant Kumar Singh,Sudeep Kumar

Counsel for Respondent(s):

AND

RERA APPEAL No.76 of 2025

Ratan Buildtech Private Limited .. Appellant

Versus

Radhika Bansal	. Respondent

Counsel for Petitioner(s):

Prashant Kumar Singh, Sudeep Kumar

Counsel for Respondent(s):

Manish Singh, Azhar Ikram

AND

RERA APPEAL No.77 of 2025

Ratan Buildtech Private Limited .. Appellant

Versus

Amar Singh Chauhan	. Respondent

Counsel for Petitioner(s):

Prashant Kumar Singh, Sudeep Kumar

Counsel for Respondent(s):

AND

RERA APPEAL No.78 of 2025

Ratan Buildtech Private Limited .. Appellant

Versus

Shaktidhar Sahani . Respondent

Counsel for Petitioner(s):

Prashant Kumar Singh,Sudeep Kumar

Counsel for Respondent(s):

AND

RERA APPEAL No.79 of 2025

Ratan Buildtech Private Limited .. Appellant

Versus

Akhil Saxena . Respondent

Counsel for Petitioner(s):

Prashant Kumar Singh,Sudeep Kumar

Counsel for Respondent(s):

AND

RERA APPEAL No.80 of 2025

Ratan Buildtech Private Limited .. Appellant

Versus

Debangshu Sarkar & another . Respondent

Counsel for Petitioner(s):

Prashant Kumar Singh

Counsel for Respondent(s):

AND

RERA APPEAL No.81 of 2025

Ratan Buildtech Private Limited .. Appellant

Versus

Nishant Dang . Respondent

Counsel for Petitioner(s):

Prashant Kumar Singh, Sudeep Kumar

Counsel for Respondent(s):

AND

RERA APPEAL No.82 of 2025

Ratan Buildtech Private Limited .. Appellant

Versus

Rashmita Nayak . Respondent

Counsel for Petitioner(s):

Prashant Kumar Singh, Sudeep Kumar

Counsel for Respondent(s):

AND

RERA APPEAL No.83 of 2025

Ratan Buildtech Private Limited .. Appellant

Versus

Satvinder Singh & another . Respondent

Counsel for Petitioner(s):

Prashant Kumar Singh, Sudeep Kumar

Counsel for Respondent(s):

AND

RERA APPEAL No.84 of 2025

Ratan Buildtech Private Limited .. Appellant

Versus

Ved Prakash Singh . Respondent

Counsel for Petitioner(s):

Prashant Kumar Singh, Sudeep Kumar

Counsel for Respondent(s):

AND

RERA APPEAL No.87 of 2025

Ratan Buildtech Private Limited .. Appellant

Versus

Raghavendra Singh . Respondent

Counsel for Petitioner(s):

Prashant Kumar Singh

Counsel for Respondent(s):

Awadhesh Kumar Misra, Piyush Tripathi

CORAM: HON'BLE PANKAJ BHATIA, J.

J U D G M E N T

1. Heard Sri Sudeep Kumar along with Mahima Pahwa and Sri Prashant Kumar Singh, learned Counsels appearing on behalf of the appellants and Sri Azhar

Ikram along with Sri Manish Singh, learned Counsels appearing on behalf of the respondents-allottee. Sri Azhar Ikram also appears on behalf of the appellant-allottee in RERA Appeal No.70 of 2025.

2. The RERA Appeal Defective No.18; RERA Appeal Defective No.19 of 2025; RERA Appeal Defective No.20 of 2025 and RERA Appeal Defective No.25 of 2025 have been filed along with an application for condonation of delay. The cause shown are sufficient. The applications for condonation of delay are allowed. The delay in filing the appeals are condoned.

3. All the abovesaid appeals arise out of the same judgment passed by the U.P. Real Estate Appellate Tribunal, as such, are being decided by means of this common judgment.

4. For the brevity, the facts as emerge from the RERA Appeal No.72 of 2025 are that the respondent was allotted an apartment by the appellant at NOIDA under a builder buyer agreement on 22.01.2019. It is stated that on 16.09.2022, completion certificate was issued by the Greater Noida Industrial Development Authority in favour of the promoter. It is further stated that on 11.10.2022, the respondent filed a complaint for grant of interest and compensation under Form-N prescribed under The Real Estate (Regulation and Development) Act, 2016 (hereinafter referred to as the RERA Act) before the Adjudicating Officer, Uttar Pradesh Real Estate Regulatory Authority at Gautam Budhnagar. In the said complaint, the allegations of incorrect and false information; delay in possession and failure to discharge duties as per the Act, Rules and Regulations were made. In the said complaint, it is also stated that the possession was not provided as per the agreement and the allegation of mental harassment was also made and on these grounds, the respondent sought compensation of Rs.6,00,000/-. The said complaint/ application was resisted by the appellant by filing an objection and the objections were raised with regard to the jurisdiction to grant delay interest or compensation, which according to the appellant could be done only by the Regulatory Authority. After considering the complaint and objections filed, the compensation was awarded by the Adjudicating Authority vide order dated 10.02.2023. The said order of the Adjudicating Authority was challenged by the appellant in Appeal No.438 of 2023 before the Real Estate Appellant Tribunal (hereinafter referred to as the Tribunal) seeking quashing of the judgment dated 10.02.2023 on various grounds. It is stated that the requirement of pre-deposit under Section 43 of the RERA Act was also fulfilled at the time of filing of the appeal.

5. From the perusal of the appeal memo filed before the Tribunal, a copy whereof is on record as Annexure-5 to the RERA Appeal No.72 of 2025, what transpires is that while filing the appeal, one of the main grounds taken before the Tribunal was that the interest and compensation has been awarded by the Adjudicating Authority, whereas, the power to grant compensation for delay is vested only with the Regulatory Authority in terms of the judgment of the Honble Supreme Court in the case of Newtech Promoters and Developers Pvt. Ltd. vs State of U.P. (Civil Appeal No.6745-6749 of 2021). In paragraph 3 of the appeal filed before the Tribunal, it was stated that the grant of compensation was not justified as the same was without jurisdiction and was liable to be dismissed. In paragraph 6, it was specifically stated that the allottee had only the remedy to claim interest till the handing over of the compensation and no relief with regard to the compensation could be granted. In paragraph 8, it was specifically stated that the only remedy available to the allottee was to claim interest for the period of delay till such time the possession was offered, which authority is solely vested with Regulatory Authority and not the Adjudicating Officer. In paragraphs 13 and 14, the grant of compensation was said to be bad in law and in paragraph 23, it has been stated that in the builder buyer agreement, the expected date of offer was December, 2019 but the same was subjected to delay including COVID-19. In paragraph 29, it was specifically pleaded that the term mentioned in the builder buyer agreement was not essence of the contract and only a tentative time of completion of the project along with extension clause was provided indicating that the offer of possession was subject to incidents of force majeure which may adversely affect the delivery of possession and there was no provision for grant of any penal consequences. In paragraph 31, it was admitted that the offer of possession was sent for the first time on 13.10.2022. In paragraph 33, the jurisdiction of the Adjudicating Authority was once again challenged. In paragraph 35, a ground has been taken that in the official website of the RERA, the completion period of the project is mentioned as 30.12.2020 and further extension of one year was granted from 31.12.2019 to 30.12.2020 and the every promoters has the right and privilege to get the extension of one year as a matter of right. A claim with regard to waiver of interest for the COVID period was also pleaded. It was admitted that an application was also moved before the RERA Authority on 21.09.2021 for extension, however, no orders were passed thereupon. In short, the entire appeal was premised on the ground that no compensation or interest could have been awarded by the Adjudicating Authority.

6. The Tribunal after hearing the parties proceeded to decide the issues, vide order dated 14.05.2025, in between the parties including the question of

jurisdiction as was raised by the appellant in exercise of powers vested in the Tribunal by virtue of Section 44(6) read with Section 53(1) of the RERA Act. Section 44(6) and Section 53(1) reads as under:

7. Application for settlement of disputes and appeals to Appellate Tribunal. ...

(6) The Appellate Tribunal may, for the purpose of examining the legality or propriety or correctness of any order or decision of the Authority or the adjudicating officer, on its own motion or otherwise, call for the records relevant to disposing of such appeal and make such orders as it thinks fit.

53. Powers of Tribunal.-(1) The Appellate Tribunal shall not be bound by the procedure laid down by the Code of Civil Procedure, 1908 (5 of 1908) but shall be guided by the principles of natural justice.

54. On the basis of the abovesaid powers, the Tribunal,on the basis of limited arguments raised as are reflected from order, decided the appeal vide order dated 14.05.2025 and set aside the order passed by the Adjudicating Authority however,it was decided that the respondent-allottee is entitled to delay interest only w.e.f. 01.01.2020 to 13.10.2022 at MCLR + 1% on the deposited amount except for the six months force majeure period on account of Covid-19. It was further directed that the amount so deposited as pre-deposit under Section 43(5) of the RERA Act shall be released in favour of the respondent after verifying whether any execution proceedings is pending or not and in case any execution is pending, the amount so deposited shall be remitted to the Regulatory Authority. Aggrieved by the order dated 14.05.2025, the present RERA appeal being No.70 of 2025 has been preferred by the appellant.

55. One of the respondents-allottee preferred RERA Appeal No.70 of 2025 attacking the order by arguing that the compensation could not have been refused apart from interest.

56. It is admitted in between the parties that in terms of the builder buyer agreement executed in between the appellant and the respondent on 22.01.2019, the date of delivery of possession was indicated as December, 2019. It is also admitted that the completion certificate was received on 16.09.2022 and the letter for the allotment was issued by the appellant on 13.10.2022.

57. It is argued by the Counsel for the appellant that after issuance of the completion certificate by the competent authority, the appellant issued offer of possession to the allottee on 13.10.2022 but the respondent did not come forward for execution of the lease deed. Subsequently, the lease deed was

executed on 15.02.2024 in between the promoter and the allottee. It is also argued that the manner in which the interest has been awarded by the Tribunal is bad in law and further the pre-deposit for preferring the appeal could not have been directed to be released in favour of the respondent.

58. The Counsel for the appellant on the basis of the written agreement also argues that it is well settled that the Adjudicating Officer has no jurisdiction to grant interest as has been held by the Honble Supreme Court in the case of Newtech Promoters and Developers (P) Ltd. vs State of U.P.:(2021) 18 SCC 1. Interest, according to the appellant can be granted only by the Regulatory Authority and not by the Adjudicating Authority. The Counsel for the appellant further argues that the order, which records that the appellant has admitted about the delay in delivery of the possession of the apartment, is erroneous, inasmuch as, the admission on the part of the appellant was only to the effect that the apartment could not be delivered to the allottee and not any admission that they are liable to pay interest and compensation. It is further argued that it was incumbent upon the Tribunal to have conducted an inquiry before directing for payment of interest as has been done by means of the impugned judgment. It is further argued that no reasons have been recorded while granting the interest and the Tribunal has erred in directing the refund of money, which was deposited as pre-deposit under Section 43, which is primarily for the purpose of satisfying the statutory requirement of maintaining an appeal and cannot be appropriated after the decision is made. Reliance is also placed upon the provisions of Section 44(6) of the RERA Act to argue that even if the Tribunal had the power, it was incumbent upon the Tribunal to hold full-fledged inquiry before granting interest which has not been done.

59. The Counsel for the appellant further argues that although the Tribunal is vested with the power to pass such order as thinks fit, however, the grant of interest is subject to fulfilling the procedure and after framing legal issues and after analyzing the evidence. It is further argued that although the provisions of Code of Civil Procedure, 1908 would not apply, however, once the Tribunal is of the view that the Adjudicating Officer had no jurisdiction, it was incumbent to frame issues itself and then decide the same. In support of the contention, the Counsel for the appellant argues that the Honble Supreme Court while analyzing the phrase to pass orders as it thinks fit in the case of Commissioner of Income Tax, Bombay vs Walchand & Co. (P) Ltd.:1967 SCC OnLine SC 119 held as under:

It is necessary to emphasize that though the Tribunal is not a court, it is invested with judicial power to be exercised in manner similar to the exercise of power of an appellate court acting under the Code of Civil Procedure. Authority to pass such orders thereon as it thinks fit in Section 33(4) of the Income Tax Act, 1922, is not arbitrary : the expression is intended to define the jurisdiction of the Tribunal to deal with and determine questions which arise out of the subject-matter of the appeal in the light of the evidence, and consistently with the justice of the case. In the hierarchy of authorities the Appellate Tribunal is the final fact-finding body; its decisions on questions of fact are not liable to be questioned before the High Court. The nature of the jurisdiction predicates that the Tribunal will approach and decide the case in a judicial spirit and for that purpose it must indicate the disputed questions before it with evidence pro and con and record its reasons in support of the decision. The practice of recording a decision without reasons in support cannot but be severely deprecated. 13. Similarly in the case of Commissioner of Income Tax, Madras vs S. Chenniappa Mudaliar, Madurai: (1969) 1 SCC 591 held as under:

The powers, functions and duties of the Appellate Tribunal are set out in Sections 28, 33, 35, 37, 48 and 66. For our purpose reference may be made only to Sections 33 and 66. Sub-sections (1) and (2) of Section 33 give a right to the assessee and the Commissioner to appeal to the Appellate Tribunal against the order passed by the Appellate Assistant Commissioner within sixty days of the communication of his order. Under sub-section (2-A) the Tribunal can admit an appeal after the expiry of sixty days if it is satisfied that there was sufficient cause for not presenting it within that period. Sub-section (3) lays down the formalities in the matter of the filing of an appeal. Sub-section (4) is to the effect that the Appellate Tribunal may, after giving both parties to the appeal an opportunity of being heard, pass such orders thereon as it thinks fit and shall communicate any such orders to the assessee and to the Commissioner. Sub-section (5) deals with the changes to be made in the assessment as a result of the orders of the Appellate Tribunal. Sub-section (6) makes the orders of the Tribunal on appeal final, the only saving being with reference to the provisions of Section 66. Under that section the assessee or the Commissioner can require the Appellate Tribunal to refer to the High Court any question of law arising out of the order of the Appellate Tribunal and if the Tribunal refuses to state the case on the ground that no question of law arises the assessee or the Commissioner can, within the prescribed period, apply to the High Court and the High Court can direct the Appellate Tribunal to state the case and make a reference. It is unnecessary to refer to all the provisions of Section 66 except to notice the power of the High Court to decide the question of law which decision has to be implemented by the Appellate Tribunal. 7. The scheme of the provisions of the Act relating to the Appellate Tribunal apparently is that it has to dispose of an appeal by making such

orders as it thinks fit on the merits. It follows from the language of Section 33(4) and in particular the use of the word thereon that the Tribunal has to go into the correctness or otherwise of the points decided by the departmental authorities in the light of the submissions made by the appellant. This can only be done by giving a decision on the merits on questions of fact and law and not by merely disposing of the appeal on the ground that the party concerned has failed to appear. As observed in Hukumchand Mills Ltd. v. CIT, [(1967) 63 ITR 232 : 1966 SCC OnLine SC 171] the word thereon in Section 33(4) restricts the jurisdiction of the Tribunal to the subject-matter of the appeal and the words pass such orders as the Tribunal thinks fit include all the powers (except possibly the power of enhancement) which are conferred upon the Appellate Assistant Commissioner by Section 31 of the Act. The provisions contained in Section 66 about making a reference on questions of law to the High Court will be rendered nugatory if any such power is attributed to the Appellate Tribunal by which it can dismiss an appeal, which has otherwise been properly filed, for default without making any order thereon in accordance with Section 33(4). ... 14. It is further argued that as far as the grant of interest is concerned, Section 18 of RERA Act read with Rule 33 of The Uttar Pradesh Real Estate (Regulation and Development) Rules, 2016 (hereinafter referred to as RERA Rules) are relevant. The said Section and Rule are quoted in subsequent paragraph.

15. The Counsel for the appellant further argues that the phrase as the case may be used in Section 18 (1)(a) should be interpreted to hold that grant of interest is not a mechanical exercise rather it is dependent on various factors as prescribed under Section 72, which mandates for inquiry to be conducted by the Regulatory Authority and in absence of such exercise, the impugned order passed by the Tribunal granting interest for delayed period is wholly impermissible. The phrase as the case may be come up for consideration before Honble Supreme Court in the case of Subramaniam Shanmugham vs M.L. Rajendran: (1987) 4 SCC 215. In para 3 of the said judgment, Honble Supreme Court held as under:

16. Justice Morris in Bluston & Bramley Ltd. v. Leigh [(1950) 2 All ER 29, 35] explained that the phrase as the case may be meant in the events that have happened. Our attention was also drawn to the expression as the case may be as appearing in the Words and Phrases, Permanent Edn. 4 page 596. The meaning of the expression as the case may be is what the expression says, i.e., as the situation may be, in other words in case there are separate and distinct units then concept of need will apply accordingly. Where, however, there is no such separate and distinct unit, it has no significance. There is no magic in that

expression. The expression as the case may be has been properly construed in the judgment mentioned hereinbefore.

17. The Counsel for the appellant argues that the phrase as the case may be in the present case ought to have been considered keeping in view the obligations of the promoters restricting the transfer without issuance of completion certificate which cannot be attributed to the appellant. Reliance is also placed upon the judgment in the case of Mahindra & Mahindra Financial Services Limited vs State of U.P.: 2019 SCC OnLine All 5336.

18. It is further argued by the Counsel for the appellant that for preferring an appeal, there is a prescription for deposit of the amount so that the appeal can be entertained. He argues that for interpreting the word entertained, the same has to be read as admitting to consideration and is not in a nature of the security and thus could not have been released in favour of the allottee as has been done by the impugned order.

19. The Counsel for the respondent, on the other hand, argues that the appeal has been filed against an order of compromise ,wherein, the facts were admitted as recorded by the Tribunal and the grant of interest according to him is a mechanical exercise in view of the prescriptions contained in Section 18(1)(a) which does not require any further exercise and thus argument of the Promoter to that effect deserves to be rejected. He places reliance upon the judgment of this Court dated 18.11.2023 passed in RERA Appeal No.67 of 2023 (U.P. Avas Evam Vikas Parishad, Lucknow vs Dhruv Kumar Chaturvedi) as well as on the judgment dated 08.10.2020 passed in Writ-C No.13904 of 2020 (Vibhor Vaibhav Infrahomes Pvt. Ltd. vs Union of India & Ors.

20. This Court, vide order dated 28.04.2025, had admitted RERA Appeal(s) No.41, 42, 43, 44 of 2025 and the RERA Appeal Defective No.21 of 2025, now renumbered as RERA Appeal No.45 of 2025, on the following questions of law:

(i). Whether the Appellate Tribunal was justified in granting delayed interest for a period which is mentioned in its impugned order dated 17.2.2025 para 18(ii) without making any determination and without recording any reasons in respect thereof? (ii). Whether the Appellate Tribunal was justified in making a direction as contained in para 18 (iii) of the impugned order without considering the fact that the deposit made in terms of Section 43 (5) of the Act of 2016 is primarily for the purposes of satisfying the statutory requirement of maintaining the appeal and in such circumstances, whether the pre deposit so made can be appropriated after the decision is made in favour of the respondent for whom there are separate

provisions for execution in the Act and in this light whether the execution can be by passed by taking recourse to issuing such a direction? 20. In the light of the arguments raised by the respective parties, while admitting the other appeals, two additional issues were framed, which are as under:

(iii). Whether, an appeal would lie against the grant of interest under Section 18(1) of the RERA Act, granted on the basis of admission in between the parties? (iv). Whether, grant of interest requires any adjudication or can be granted automatically as per Section 18(1) of the RERA Act? 21. In the light of the submissions as recorded above and the points determined, it is essential to note the scheme of the RERA Act. The Act in question was enacted for regulation and promotion of the real estate sector and for providing a mechanism for dispute redressal. Chapter III of the said RERA Act prescribes for functions and duties of promoter; Chapter IV provides for rights and duties of allottees; Chapter V prescribes for establishment of a Regulatory Authority and functions thereof and Chapter VI prescribes for establishing an Appellate Tribunal and the powers of the said Appellate Tribunal. In terms of the powers conferred by the said RERA Act, the Rule 2016 known as The Uttar Pradesh Real Estate (Regulation and Development) Rules, 2016 has been enacted, which prescribes the manner, in which, the rate of interest is payable by the promoters as prescribed under Chapter V. The manner of exercise of the Regulatory Authority is prescribed in Chapter VI and the manner, in which, the Appellate Tribunal decides the appeals is prescribed under Chapter VII. Thus from the object of the Act it is clear that it is a socio beneficial legislation ,one of the objects being to protect the home buyers who do not possess the bargaining powers while entering into contracts with promoters which are generally one sided.

22. Before adverting to decide the points, it is essential to note Sections 2(za), 18, 19, 40, 43 of the RERA Act, which reads as below:

2 (za). (za) "interest" means the rates of interest payable by the promoter or the allottee, as the case may be. Explanation. - For the purpose of this clause -

(i) the rate of interest chargeable from the allottee by the promoter, in case of default, shall be equal to the rate of interest which the promoter shall be liable to pay the allottee, in case of default;

(ii) the interest payable by the promoter to the allottee shall be from the date the promoter received the amount or any part thereof till the date the amount or part thereof and interest thereon is refunded, and the interest payable by the allottee to the promoter shall be from the date the allottee defaults in payment to the promoter till the date it is paid;

18. Return of amount and compensation.-(1) If the promoter fails to complete or is unable to give possession of an apartment, plot or building-

(a) in accordance with the terms of the agreement for sale or, as the case may be, duly completed by the date specified therein; or

(b) due to discontinuance of his business as a developer on account of suspension or revocation of the registration under this Act or for any other reason, he shall be liable on demand to the allottees, in case the allottee wishes to withdraw from the project, without prejudice to any other remedy available, to return the amount received by him in respect of that apartment, plot, building, as the case may be, with interest at such rate as may be prescribed in this behalf including compensation in the manner as provided under this Act:

Provided that where an allottee does not intend to withdraw from the project, he shall be paid, by the promoter, interest for every month of delay, till the handing over of the possession, at such rate as may be prescribed. (2) The promoter shall compensate the allottees in case of any loss caused to him due to defective title of the land, on which the project is being developed or has been developed, in the manner as provided under this Act, and the claim for compensation under this sub-section shall not be barred by limitation provided under any law for the time being in force. (3) If the promoter fails to discharge any other obligations imposed on him under this Act or the rules or regulations made thereunder or in accordance with the terms and conditions of the agreement for sale, he shall be liable to pay such compensation to the allottees, in the manner as provided under this Act. 19. Rights and duties of allottees.-(1) The allottee shall be entitled to obtain the information relating to sanctioned plans, layout plans along with the specifications, approved by the competent authority and such other information as provided in this Act or the rules and regulations made thereunder or the agreement for sale signed with the promoter.

(2) The allottee shall be entitled to know stage-wise time schedule of completion of the project, including the provisions for water, sanitation, electricity and other amenities and services as agreed to between the promoter and the allottee in accordance with the terms and conditions of the agreement for sale.

(3) The allottee shall be entitled to claim the possession of apartment, plot or building, as the case may be, and the association of allottees shall be entitled to claim the possession of the common areas, as per the declaration given by the promoter under sub-clause (C) of clause (1) of sub-section (2) of Section 4.

(4) The allottee shall be entitled to claim the refund of amount paid along with interest at such rate as may be prescribed and compensation in the manner as provided under this Act, from the promoter, if the promoter fails to comply or is unable to give possession of the apartment, plot or building, as the case may be, in accordance with the terms of agreement for sale or due to discontinuance of his business as a developer on account of suspension or revocation of his registration under the provisions of this Act or the rules or regulations made thereunder.

(5) The allottee shall be entitled to have the necessary documents and plans, including that of common areas, after handing over the physical possession of the apartment or plot or building as the case may be, by the promoter.

(6) Every allottee, who has entered into an agreement for sale to take an apartment, plot or building as the case may be, under Section 13, shall be responsible to make necessary payments in the manner and within the time as specified in the said agreement for sale and shall pay at the proper time and place, the share of the registration charges, municipal taxes, water and electricity charges, maintenance charges, ground rent, and other charges, if any.

(7) The allottee shall be liable to pay interest, at such rate as may be prescribed, for any delay in payment towards any amount or charges to be paid under sub-section (6).

(8) The obligations of the allottee under sub-section (6) and the liability towards interest under sub-section (7) may be reduced when mutually agreed to between the promoter and such allottee.

(9) Every allottee of the apartment, plot or building as the case may be, shall participate towards the formation of an association or society or cooperative society of the allottees, or a federation of the same.

(10) Every allottee shall take physical possession of the apartment, plot or building as the case may be, within a period of two months of the occupancy certificate issued for the said apartment, plot or building, as the case may be.

(11) Every allottee shall participate towards registration of the conveyance deed of the apartment, plot or building, as the case may be, as provided under sub-section (1) of Section 17 of this Act.

40. Recovery of interest or penalty or compensation and enforcement of order. etc.
    (1) If a promoter or an allottee or a real estate agent, as the case may be, fails to pay any interest or penalty or compensation imposed on him, by the

adjudicating officer or the Regulatory Authority or the Appellate Authority, as the case may be, under this Act or the rules and regulations made thereunder, it shall be recoverable from such promoter or allottee or real estate agent, in such manner as may be prescribed as an arrears of land revenue.

(2) If any adjudicating officer or the Regulatory Authority or the Appellate Tribunal, as the case may be, issues any order or directs any person to do any act, or refrain from doing any act, which it is empowered to do under this Act or the rules or regulations made thereunder, then in case of failure by any person to comply with order or direction, the same shall be enforced, in such manner as may be prescribed.

43. Establishment of Real Estate Appellate Tribunal.-(1) The appropriate Government shall, within a period of one year from the date of coming into force of this Act, by notification, establish an Appellate Tribunal to be known as the (name of the State/Union territory) Real Estate Appellate Tribunal.

(2) The appropriate Government may, if it deems necessary, establish one or more benches of the Appellate Tribunal, for various jurisdictions, in the State or Union territory, as the case may be.

(3) Every bench of the Appellate Tribunal shall consist of at least one Judicial Member and one Administrative or Technical Member.

(4) The appropriate Government of two or more states or Union territories may, if it deems fit, establish one single Appellate Tribunal:

Provided that, until the establishment of an Appellate Tribunal under this section, the appropriate Government shall designate, by order, any Appellate Tribunal Functioning under any law for the time being in force, to be the Appellate Tribunal to hear appeals under the Act: Provided further that after the Appellate Tribunal under this section is established, all matters pending with the Appellate Tribunal designated to hear appeals, shall stand transferred to the Appellate Tribunal so established and shall be heard from the stage such appeal is transferred. (5) Any person aggrieved by any direction or decision or order made by the Authority or by an adjudicating officer under this Act may prefer an appeal before the Appellate Tribunal having jurisdiction over the matter: Provided that where a promoter files an appeal with the Appellate Tribunal, it shall not be entertained, without the promoter first having deposited with the Appellate Tribunal at least thirty per cent. of the penalty, or such higher percentage as may be determined by the Appellate Tribunal, or the total amount to be paid to the allottee including interest and compensation

imposed on him, if any, or with both, as the case may be, before the said appeal is heard. Explanation. For the purpose of this sub-section "person" shall include the association of allottees or any voluntary consumer association registered under any law for the time being in force. 23. Similarly, it is essential to reproduce Rules 15, 16 and 33 of the Rules 2016 to decide the issues, which are as under: 15. Rate of interest payable by the promoter and the allottee. - The Authority shall maintain a back-up, in digital form, of the contents of its website in terms of this rule, and ensure that such back-up is updated on the last day of each month. 16. Timelines for refund. - Any refund of moneys along with the applicable interest and compensation, if any, payable by the promoter in terms of the Act or the rules and regulations made thereunder, shall be payable by the promoter to the allottee within forty-five days from the date on which such refund along with applicable interest and compensation, if any, becomes due. 33. Manner of filing a complaint with the regulatory authority and the manner of holding an inquiry by the regulatory authority.-(1) Any aggrieved person may file a complaint with the regulatory authority for any violation under the Act or the rules and regulations made thereunder, save as those provided to be adjudicated by the adjudicating officer, in Form M which shall be accompanied by a fee of rupees one thousand in the form of a demand draft drawn on a nationalized bank in favour of regulatory authority and payable at the main branch of that bank at the station where the seat of the said regulatory authority is situated. Explanation. For the purpose of this sub-rule "person" shall include the association of allottees or any voluntary consumer association registered under any law for the time being in force.

(2) The regulatory authority shall for the purposes of deciding any complaint as specified under sub-rule (1), follow summary procedure for inquiry in the following manner:

(a) Upon receipt of the complaint the regulatory authority shall issue a notice along with particulars of the alleged contravention and the relevant documents to the respondent; (b) The notice shall specify a date and time for further hearing; (c) On the date so fixed, the regulatory authority shall explain to the respondent about the contravention alleged to have been committed in relation to any of the provisions of the Act or the rules and regulations made thereunder and if the respondent: (i) pleads guilty, the regulatory authority shall record the plea, and pass such orders including imposition of penalty as it thinks fit in accordance with the provisions of the Act or the rules and regulations, made thereunder; (ii) does not plead guilty and contests the complaint the regulatory authority shall demand an explanation from the respondent; (d) In case the regulatory authority is satisfied on the basis of the submissions made that the complaint does not require any further inquiry it may

dismiss the complaint; (e) In case the regulatory authority is satisfied on the basis of the submissions made that the there is need for further hearing into the complaint it may order production of documents or other evidence on a date and time fixed by it; (f) The regulatory authority shall have the power to carry out an inquiry into the complaint on the basis of documents and submissions; (g) On the date so fixed, the regulatory authority upon consideration of the evidence produced before it and other records and submissions is satisfied that: (i) the respondent is in contravention of the provisions of the Act or the rules and regulations made thereunder it shall pass such orders including imposition of penalty as it thinks fit in accordance with the provisions of the Act or the rules and regulations made thereunder; (ii) the respondent is not in contravention of the provisions of the Act or the rules and regulations made thereunder the regulatory authority may, by order in writing, dismiss the complaint, with reasons to be recorded in writing. (h) If any person fails, neglects or refuses to appear, or present himself as required before the regulatory authority, the regulatory authority shall have the power to proceed with the inquiry in the absence of such person or persons after recording the reasons for doing so. 24. On the basis of the statutory prescriptions of the RERA Act and the Rules framed therein and quoted hereinabove, it is essential to note the error committed by the Draftsmen in Rule 15 of the RERA Rules, which appears to be as a result of slipshod and a careless mistake of the Draftsmen. Let a copy of this order be sent to Secretary, Law, Government of U.P. for taking steps for rectification of the error in drafting Rule 15.

Questions No.(i) & (iv):

(i). Whether the Appellate Tribunal was justified in granting delayed interest for a period which is mentioned in its impugned order dated 17.2.2025, para 18(ii), without making any determination and without recording any reasons in respect thereof. &

(iv). Whether, grant of interest requires any adjudication or can be granted automatically as per Section 18(1) of the RERA Act?

Answers:

25. Since both the questions are correlated to each other, as such, the same are being decided together.

26. On plain reading of the RERA Act and the mandate contained therein, what emerges is that the RERA Act was enacted to protect the allottee in the Real Estate Project and for regulating the Real Estate Sector. Various prescriptions

are contained in the RERA Act, which flow essentially from Chapter III, which prescribes for functioning and duties of the promoters and Chapter IV prescribes for rights and duties of the allottee. Several other provisions are also contained in the Act with regard to the grant of interest and/or compensation in the event of any default committed by the promoters and complying with any of the stipulations contained in Chapter III, however, interest is specifically prescribed in Section 18(1), which is in two parts in respect of allottees who wish to withdraw from the project and the allottees who wish to continue with the project.

In case of allottees who wish to withdraw Interest is payable on demand at prescribed rates in accordance with the agreement of sale or the date of due completion as specified therein In case of allottees who wish to continue with the project Interest is payable for every month of delay, till the handing over of the possession, at such rates as may be prescribed. In the said section the date from which the interest is payable is not provided.

27. An attempt was made by Sri Sudeep Kumar, learned Counsel for the appellant to argue on the foundation of the phrase as the case may be used in Section 18 of the RERA Act to argue that the said phrase would include within its ambit, the delay, which may occur on account of force majeure clause or any eventuality beyond the control of the builder/ promoter like in the present case, where the authority concerned has failed to grant completion certificate, which resulted in delay of handing over the flats in question.

28. The said argument deserves to be rejected for the simple reason that Section 18, in its plain language, prescribes for two eventualities; firstly, the grant of interest and secondly, the grant of compensation on account of there being any default on the part of the promoter. The phrase as the case may be used in the context of there being two eventualities for awarding interest prescribed under Section 18 itself. Firstly being the promoter fails to complete AND second being where Promoter is unable to give possession the phrase as the case may be in Section 18(1)(a), is to cater to these two situations. To further clarify the meaning as emerges from the plain reading of Section 18 (1) (a) ,if the promoter fails to complete the project interest is payable according to the agreement for sale and where the Promoter fails to give possession,interest is payable with reference to duly completed by the date specified It is to meet the said two eventualities that the phrase as the case may be is used.

29. It is also essential to note that the Appellate tribunal has granted interest from 01.01.2020 {expected date of completion indicated in agreement as December

2019} to 13.10.2022 {date when offer for taking possession was sent} at the rate of MCLR + 1%. The said rate appears to be drawn from the directions given by the RERA on 19.06.2018 in exercise of powers under Section 37 of the RERA Act and the Regulation 9.2(ii) of The U.P Real Estate (Regulation and Development) (Agreement for Sale/Lease) Rules, 2018 as the Rule 15 of The UP Real Estate (Regulation and Development) Rules 2016 is silent as observed above being an ex facie error by the draftsman, the same cannot be faulted with as is reasonable.

30. In the present case, admittedly, there was no dispute with regard to the date prescribed in the agreement to sale for completion of the project that was 31.12.2019 and even as per the admission, as recorded in paragraph 13 of the impugned judgment, the offer of possession was made on 05.11.2022, which fact was also admitted by the learned Counsel for the appellant during the course of the hearing before the Tribunal, thus, the normal consequence of the agreement on the three dates would result in automatic award of interest in terms of the mandate of Section 18(1)(a) and was rightly awarded by the Tribunal, thus, the Question No.(iv) is decided against the appellant.

31. The question no.(i) is with regard to the scope of powers of the Tribunal in granting the interest directly in exercise of its appellate powers prescribed under Section 43. Heading of Section 44 of the RERA Act describes application for settlement of disputes and appeals to appellate tribunal, thus, the said Section has two parts, firstly prescribing for an appeal against an order of an Adjudicating Officer, which can be entertained and decided within the time prescribed and in the manner as prescribed, and the second power conferred on the Tribunal as mentioned in Section 44(6) which is basically revisional powers vested in the Appellate Tribunal for examining the legality and propriety and correctness of any order or direction of the Authority or the Adjudicating Officer on its own motion or otherwise, thus, the Tribunal is vested with appellate as well as revisional powers. Although not mentioned in strict sense, it is clearly well settled that the Appellate Authority, wherever prescribed, is entitled to exercise the powers of the authority, against whose order, the appeal has been preferred at the appellate stage, more so, when no appreciation of evidence is required and only a mechanical exercise is to be performed by the Regulatory Authority. The said analogy also flows from the mandate of Order XLI Rule 24 of C.P.C., although not applicable in stricto sensu, however, the principles can be applied to hold that the authority has the power to pronounce judgment based upon the material on record, which according to the appellate

court is sufficient to pronounce the judgment or finally determine the lis in the present case being award of interest.

32. In view thereof, the questions are decided against the appellant by holding that the Tribunal has rightly exercised its power in granting delayed interest.

Question No.(ii):

Whether the Appellate Tribunal was justified in making a direction as contained in para 18 (iii) of the impugned order without considering the fact that the deposit made in terms of Section 43 (5) of the Act of 2016 is primarily for the purposes of satisfying the statutory requirement of maintaining the appeal and in such circumstances, whether the pre deposit so made can be appropriated after the decision is made in favour of the respondent for whom there are separate provisions for execution in the Act and in this light whether the execution can be bye passed by taking recourse to issuing such a direction?. Answer: 33. Coming to the Question No.(ii), as framed with regard to the power and the nature of deposit made under Section 43(5) and the power to direct the appropriation of the said amount as has been done by the Tribunal.

34. To analyse the said provision, Section 43(5) provides for a condition to be fulfilled by the appellant/ promoter as pre-deposit for the appeal to be entertained by the Tribunal. The nature and scope of pre-deposit as prescribed under Section 43 (5) is contained in various statutes as a condition for preferring an appeal and was considered extensively by Honble Supreme Court in the case of Harinagar Sugar Mills Ltd. vs State of Bihar and others:(2003) 11 SCC 40, wherein, Honble Supreme Court analyse the similar provisions, which are as under:

35. The main question, however, that needs to be considered is whether the amount deposited in view of Section 27-B of the Act is deposit of the liability of dues of fee assessed or not.

36. The amount in respect of which the Appellate Authority is to be satisfied that it has been so deposited, according to Section 27-B of the Act has to be in certain proportion of the amount of fee assessed and due. That is to say, the liability of the assessee is already fixed and the amount assessed is treated to be amount due to be paid, it is an ascertained amount out of dues which must be paid to the Committee. Therefore, there can hardly be any doubt about the fact that it is a part of the amount out of the total liability outstanding against the appellant which the appellant is required to pay to the party viz. the Market Committee

before filing an appeal. It is not a deposit in court or with the Appellate Authority. Merely because liability in certain proportion is ensured to be in deposit before filing of an appeal, does not change the character of the deposit of a part of dues which is also specifically described to be fee assessed as due. It is not provided that the deposit is by way of security which would generally not be required to be paid to the party. Such deposits like security deposits are of different kind which are sometimes found provided for without reference to any monetary liability involved in the case e.g. in an election petition or other proceedings where some amount of security may be required to be deposited. In the present case, there is no scope to treat the amount deposited as anything else except part of the fee assessed and due. It is to be noted that the provision under Section 27-B of the Act is that the Appellate Authority is to be satisfied that the appellant has deposited with the Market Committee one-third of the fee assessed before he files an appeal. It is quite obvious that in case the appeal fails what would be required to be deposited would only be the balance of the amount of the liability, if that too is not already paid. In case the appeal succeeds, the amount paid against assessed liability which is later set aside cannot be retained and in the normal course, it is liable to be refunded, unless of course for some good reasons, it is ordered otherwise. For example, where it may amount to undue enrichment of the appellant. In the case of the appeal being unsuccessful, in the normal course, nothing more would be required to be done to the extent of deposit made. Therefore, merely, because the amount deposited may have to be refunded in case an appeal succeeds that alone does not mean that the nature of the deposit is changed or it is anything else except the amount of levy assessed and due, particularly looking to the language used and provision made under Section 27-B of the Act, where the Appellate Authority has only to be satisfied about the payment made to the Committee. Some observations relating to deposit of the tax liability while filing an appeal, though in a slightly different context, throw some light as to the nature of the deposit. In Anant Mills Co. Ltd. v. State of Gujarat [(1975) 2 SCC 175] , SCC at pp. 202-03, para 40, this Court observed: In the absence of any special reasons there appears to be no legal or constitutional impediment to the imposition of such conditions. It is permissible, for example, to prescribe a condition in criminal cases that unless a convicted person is released on bail, he must surrender to custody before his appeal against the sentence of imprisonment would be entertained. Likewise, it is permissible to enact a law that no appeal shall lie against an order relating to an assessment of tax unless the tax had been paid. Such a provision was on the statute-book in Section 30 of the Indian Income Tax Act, 1922. The proviso to that section provided that no appeal shall

lie against an order under sub-section (1) of Section 46 unless the tax had been paid. Such conditions merely regulate the exercise of the right of appeal so that the same is not abused by a recalcitrant party and there is no difficulty in the enforcement of the order appealed against in case the appeal is ultimately dismissed. It is open to the legislature to impose an accompanying liability upon a party upon whom legal right is conferred or to prescribe conditions for the exercise of the right. Any requirement for the discharge of that liability or the fulfilment of that condition in case the party concerned seeks to avail of the said right is a valid piece of legislation, and we can discern no contravention of Article 14 in it. (emphasis supplied) It appears that imposition of a precondition of deposit of the liability before filing an appeal was challenged but it is clearly held that a party while availing of a right to appeal conferred under a statute can be required to discharge the tax liability. Such a deposit made is described as discharge of liability. Such a condition imposed, would not change the nature of the amount paid or deposited out of the amount as assessed and found due. No doubt it is true that order assessing the liability remains under challenge but such a deposit made discharges the liability of the payment of the amount assessed and found due, to the extent of deposit made, subject indeed to the decision of the appeal.

37. We have already noticed that in all the cases cited by the learned Senior Counsel Shri Shanti Bhushan on behalf of the appellant, the appeals were allowed and the amount was held to be refundable. Even in one of the cases, Voltas case [(1999) 112 ELT 34 : (1998) 76 DLT 841 (Del)] where after setting aside the order of assessment the matter was remanded, it was held that there was no good reason or any order against which the amount deposited as a precondition to file an appeal, could be retained. Fresh order was awaited. But where amount of liability has been assessed and fixed and the order exists, pre-appeal deposit will be nothing else but payment of a part of the liability assessed and discharged to the extent of the amount of liability paid, subject to the result of the appeal. We are not concerned with other kinds of cases where there may be different reasons for deposit of security or any amount of any other nature. Mere filing of the appeal does not absolve the appellant nor suspends the liability assessed during pendency of the appeal. It continues unless paid or set aside. Any payment made during that period when liability subsists shall be in discharge of that liability as fixed. As provided under Section 27-B of the Act the Appellate Authority has only to be satisfied that a given part of the fee assessed and due has been paid to the Committee before it entertains the appeal. There is no direction as such for the appellant to make any payment under Section 27-

B of the Act. It is for the Appellate Authority to be satisfied that a part of the liability is in deposit with the Committee.

38. Considering the facts of the present case in the light of what has been observed by us above, we find that orders of assessment had been made. The liability had been fixed and the amount was determined. The Appellate Authority was satisfied that one-third amount of the fee assessed and due was paid to the Committee before filing of appeals. The appeals were dismissed. The revisions preferred thereafter were also dismissed. All statutory remedies stood exhausted. Writ petitions filed under Article 226 of the Constitution were pending when the order of this Court was rendered in Belsund Sugar Co. case [(1999) 9 SCC 620 : AIR 1999 SC 3125] . The writ petitions were disposed of in the light of the judgment of this Court without interfering with the orders of assessment and the appellate and revisional orders. In the case of Belsund Sugar Co. [(1999) 9 SCC 620 : AIR 1999 SC 3125] specific directions have been issued in exercise of powers under Article 142 of the Constitution as to in what circumstances the amount paid is to be refunded and not to be refunded. We have already quoted earlier the relevant part of the judgment in Belsund Sugar Co. case [(1999) 9 SCC 620 : AIR 1999 SC 3125] according to which the judgment was prospective in effect without affecting the past transactions and the orders, but the amount of the liability of the fee which had already been paid till the date of the order was not to be refunded but the balance which remained unpaid was also not to be recovered. In this case we have already held that the amount deposited before filing of appeals was a part of the liability assessed and found due and partly in discharge thereof. It was, therefore, not liable to be refunded and the High Court has rightly held so.

39. A similar provisions came up for consideration before Honble Supreme Court in the case of Axis Bank vs SBS Organics Private Limited and another: (2016) 12 SCC 18, wherein, the prescription is contained under the Securitization and Reconstruction of Financial Assets and Enforcement of Security Interest Act (SARFAESI Act) for a pre-deposit under Section 18. While preferring an appeal against any of the measures initiated under Section 13(4) of the SARFAESI Act, the Court after considering the prescriptions contained in Section 18 with regard to pre-deposit held as under:

18.Any person aggrieved by the order of DRT under Section 17 of theSarfaesiAct, is entitled to prefer an appeal along with the prescribed fee within the permitted period of 30 days. For preferring an appeal, a fee is prescribed, whereas for the Tribunal to entertain the appeal, the aggrieved person has to make a deposit of 50%

of the amount of debt due from him as claimed by the secured creditors or determined by DRT, whichever is less. This amount can, at the discretion of the Tribunal, in appropriate cases, for recorded reasons, be reduced to 25% of the debt. 19.This Court, inLakshmiratan Engg. Works Ltd.v.CST[Lakshmiratan Engg. Works Ltd.v.CST, AIR 1968 SC 488] , had the occasion to consider the meaning of the expression entertain in the context of a similar provision in the Uttar Pradesh Sales Tax Act, 1948 wherein it was held that in such context, the expression has the meaning of admitting to consideration. The relevant discussion is available at paras 9 and 10 : (AIR pp. 492-93) 9. The word entertain is explained by a Division Bench [Kundan Lal v. Jagan Nath Sharma, 1962 SCC OnLine All 38 : AIR 1962 All 547] of the Allahabad High Court as denoting the point of time at which an application to set aside the sale is heard by the court. The expression entertain, it is stated, does not mean the same thing as the filing of the application or admission of the application by the court. A similar view was again taken in Dhoom Chand Jain v. Chaman Lal Gupta [Dhoom Chand Jain v. Chaman Lal Gupta, 1962 SCC OnLine All 29 : AIR 1962 All 543] in which the learned Chief Justice Desai and Mr Justice Dwivedi gave the same meaning to the expression entertain. It is observed by Dwivedi, J. that the word entertain in its application bears the meaning admitting to consideration, and therefore when the court cannot refuse to take an application which is backed by deposit or security, it cannot refuse judicially to consider it. In a Single Bench decision of the same court in Bawan Ram v. Kunj Behari Lal [Bawan Ram v. Kunj Behari Lal, 1960 SCC OnLine All 87 : AIR 1962 All 42] one of us (Bhargava, J.) had to consider the same rule. There the deposit had not been made within the period of limitation and the question had arisen whether the court could entertain the application or not. It was decided that the application could not be entertained because proviso (b) debarred the court from entertaining an objection unless the requirement of depositing the amount or furnishing security was complied with within the time prescribed. In that case (sic meaning) of the word entertain is not interpreted but it is held that the court cannot proceed to consider the application in the absence of deposit made within the time allowed by law. This case turned on the fact that the deposit was made out of time. In yet another case of the Allahabad High Court in Haji Rahim Bux v. Firm Sanaullah & Sons [Haji Rahim Bux v. Firm Sanaullah & Sons, 1962 SCC OnLine All 156 : AIR 1963 All 320] , a Division Bench consisting of Chief Justice Desai and Mr Justice S.D. Singh interpreted the words of Order 21 Rule 90, by saying that the word entertain meant not receive or accept but proceed to consider on merits or adjudicate upon. 10. In our opinion these cases have taken a correct view of the word entertain which according to dictionary also means admit to consideration. It would therefore appear that the direction to the court in the proviso to Section 9 is that the court shall not proceed to admit to

consideration an appeal which is not accompanied by satisfactory proof of the payment of the admitted tax. This will be when the case is taken up by the court for the first time. In the decision on which the Assistant Commissioner relied, the learned Chief Justice (Desai, C.J.) holds that the words accompanied by showed that something tangible had to accompany the memorandum of appeal. If the memorandum of appeal had to be accompanied by satisfactory proof, it had to be in the shape of something tangible, because no intangible thing can accompany a document like the memorandum of appeal. In our opinion, making an appeal the equivalent of the memorandum of appeal is not sound. Even under Order 41 of the Code of Civil Procedure, the expression appeal and memorandum of appeal are used to denote two distinct things. In Wharton's Law Lexicon, the word appeal is defined as the judicial examination of the decision by a higher court of the decision of an inferior court. The appeal is the judicial examination; the memorandum of appeal contains the grounds on which the judicial examination is invited. For purposes of limitation and for purposes of the rules of the Court it is required that a written memorandum of appeal shall be filed. When the proviso speaks of the entertainment of the appeal, it means that the appeal such as was filed will not be admitted to consideration unless there is satisfactory proof available of the making of the deposit of admitted tax. 20. We are also conscious of the fact that such a precondition is present in several statutes while providing for statutory appeals, like the Income Tax Act, 1961, the Central Excise Act, 1944, the Consumer Protection Act, 1986, the Motor Vehicles Act, 1988, etc. However, unlike those statutes, the purpose of the Sarfaesi Act is different, it is meant only for speedy recovery of the dues, and the scheme under Section 13(4) of the Act, permits the secured creditor to proceed only against the secured assets. Of course, the secured creditor is free to proceed against the guarantors and the pledged assets, notwithstanding the steps under Section 13(4) and without first exhausting the recovery as against secured assets referred to in the notice under Section 13(2). But such guarantor, if aggrieved, is not entitled to approach DRT under Section 17. That right is restricted only to persons aggrieved by steps under Section 13(4) proceeding for recovery against the secured assets. 36. Thus, Honble Supreme Court while analyzing the interest of pre-deposit prescribed under Section 18 held that there was no quantification of dispute in the proceedings under Section 13(4) and thus, the pre-deposit prescribed under Section 18, cannot be adjudicated dues. This aspect was further clarified by Honble Supreme Court in the case of M/s Kut Energy Pvt. Ltd. and others vs Punjab National Bank and others:(2020) 19 SCC 533, wherein, the earlier judgment of the Honble Supreme Court in the case of Axis Bank (Supra) was analysed to the following effect:

11.In the present case, the deposit of Rs 40 crores in terms of the order of the High Court on 11-10-2017 [Kut Energy (P) Ltd.v.Punjab National Bank, 2017 SCC OnLine

HP 2616] was only to show the bona fides of the appellants when a revised offer was made by them. The deposit was not towards satisfaction of the debt in question and that is precisely why the High Court had directed that the deposit would be treated to be a deposit in the Registry of the High Court. 12.Going by the law laid down by this Court inAxis Bank[Axis Bankv.SBS Organics (P) Ltd., (2016) 12 SCC 18 : (2016) 4 SCC (Civ) 681] the secured creditor would be entitled to proceed only against the secured assets mentioned in the notice under Section 13(2) of theSarfaesiAct. In that case, the deposit was made to maintain an appeal before the DRAT and it was specifically held that the amount representing such deposit was neither a secured asset nor a secured debt which could be proceeded against and that the appellant before DRAT was entitled to refund of the amount so deposited. The submission that the bank had general lien over such deposit in terms of Section 171 of the Contract Act, 1872 was rejected as the money was not with the bank but with the DRAT. In the instant case also, the money was expressly to be treated to be with the Registry of the High Court. 13.On the strength of the law laid down by this Court inAxis Bank[Axis Bankv.SBS Organics (P) Ltd., (2016) 12 SCC 18 : (2016) 4 SCC (Civ) 681] , in our view, the appellants are entitled to withdraw the sum deposited by them in terms of said order dated 11-10-2017 [State Bank of Travancorev.Mathew K.C., (2018) 3 SCC 85 : (2018) 2 SCC (Civ) 41] . Their entitlement having been established, the claim of the appellants cannot be negated by any direction that the money may continue to be in deposit with the Bank. 37. Thus in view of the Judgments referred above and on the plain interpretation of Section 43(5) read with the context in which, the appeal is prescribed under the RERA Act, it is clear that the interest and/ or compensation, awarded can be challenged before the Tribunal after making the pre-deposit as required for the entertainment of the appeal. The said amount can be appropriated towards the adjudicated amount decided by the authority or the adjudicating authority as the case may be and there is no entitlement of refund unless the appeal is allowed and the order impugned is quashed by the Tribunal. The issue is answered accordingly.

38. It is however directed that the amount so deposited before the Regulatory Authority in terms of the directions given by the Appellate Authority shall be returned to the appellant, where the amounts are found to be in excess of the interest to be awarded to the allottees. It is further clarified that any amount found to be in excess of the interest payable to the allottee shall be refunded to the appellant on his moving appropriate application.

Question No.(iii)

(iii). Whether, an appeal would lie against the grant of interest under Section 18(1) of the RERA Act, granted on the basis of admission in between the parties?

Answer:

39. Coming to Question No.(iii), from the mandate of Section 58, which prescribes for remedy of appeal before the High Court, it is essential to note that appeal can be filed on any one or more of the grounds specified under Section 100 of C.P.C. It is also essential to note Section 58 of the RERA Act, which reads as below:

(1) Any person aggrieved by any decision or order of the Appellate Tribunal, may, file an appeal to the High Court, within a period of sixty days from the date of communication of the decision or order of the Appellate Tribunal, to him, on any one or more of the grounds specified in section 100 of the Code of Civil Procedure, 1908 (5 of 1908): Provided that the High Court may entertain the appeal after the expiry of the said period of sixty days, if it is satisfied that the appellant was prevented by sufficient cause from preferring the appeal in time. Explanation.The expression "High Court" means the High Court of a State or Union territory where the real estate project is situated. (2) No appeal shall lie against any decision or order made by the Appellate Tribunal with the consent of the parties. 40. It is also essential to notice the provision of Section 100 of C.P.C., which reads as under:

100. Second appeal.--(1) Save as otherwise expressly provided in the body of this Code or by any other law for the time being in force, an appeal shall lie to the High Court from every decree passed in appeal by any Court subordinate to the High Court, if the High Court is satisfied that the case involves a substantial question of law. (2) An appeal may lie under this section from an appellate decree passed ex parte.

(3) In an appeal under this section, the memorandum of appeal shall precisely state the substantial question of law involved in the appeal.

(4) Where the High Court is satisfied that a substantial question of law is involved in any case, it shall formulate that question.

(5) The appeal shall be heard on the question so formulated and the respondent shall, at the hearing of the appeal, be allowed to argue that the case does not involve such question:

Provided that nothing in this sub-section shall be deemed to take away or abridge the power of the Court to hear, for reasons to be recorded, the appeal on any other

substantial question of law, not formulated by it, if it is satisfied that the case involves such question. 41. Thus, on plain reading of Section 58 of the RERA Act and Section 100 of C.P.C., it is clear that an appeal would lie only against a decree passed in appeal in any court when only substantial questions of law are involved.

42. From the submissions as recorded in the appellate order, against which, the present RERA Appeals have been filed, it is clearly recorded that there was no dispute with regard to the date of delivering of possession and the offer of possession and the only ground taken with regard to the grant of interest is contained in paragraph 8 to the effect that where the allottee has taken possession without protest and thus he is not liable to any interest for the delay in terms of Section 18(1) of the Act, there being no other submission made before the Tribunal, it is not open for the appellant to canvas new issue as was tried to be done. On both the said admission with regard to non-entitlement of interest under Section 18(1) merely because the allottee has taken the possession without protest and there being no dispute with regard to the date of possession of the project and the date of offer of possession, no appeal could be preferred before this Court in excess of what was argued before the Tribunal and thus, to that extent, the appeal would not even lie on any issue beyond what was argued before the Tribunal. Even if the submission of the Counsel for the appellant that the appellate court was wrong in recording that there was admission with regard to delay in delivery of possession and the admission was confined only to that effect that apartment could not be delivered to the allottee and there was no admission to liability to pay interest,would not alter the final out come as it is already held that the statutory interest is essentially a mathematical exercise and does not require any adjudicatory exercise.. Thus, Question No.(iii) is also answered accordingly.

43. In view of all the reasons recorded above, all the appeals filed by Promoter deserve to be dismissed and are accordingly dismissed. The Appeal preferred by the Allottee also deserves to be dismissed as no arguments were advanced for payment of compensation before the Tribunal and thus will not give rise to any substantial question of Law arising from the impugned judgment.

44. Senior Registrar of this Court is directed to send a copy of this order to the Secretary, Law, Government of U.P. for information and compliance.

August 04, 2025 [Pankaj Bhatia, J.]

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[Cites 5, Cited by 0] Delhi High Court - Orders M/S Supertech Limited & Ors vs State Of Govt. Of Nct Of Delhi & Ors on 24 February, 2022 Author: Subramonium Prasad Bench: Subramonium Prasad $~7 * IN THE HIGH COURT OF DELHI AT NEW DELHI + W.P.(CRL) 377/2022 M/S SUPERTECH LIMITED & ORS ..... Petitioners Through Mr. Vikas Sethi (D/1507/2006), Advocate with Mr. Yogesh Goswami, AR of the petitioner No.1 versus STATE OF GOVT. OF NCT OF DELHI & ORS ..... Respondents Through Mr. Ranbir Singh Kundu, ASC for the State with Mr. Mukul Dagar and SI Jeetendra Singh, PS Mukherjee Nagar Complainants in person CORAM: HON'BLE MR. JUSTICE SUBRAMONIUM PRASAD ORDER % 24.02.2022

1. The instant writ petition has been filed for quashing of FIR No.432/2020 dated 29.07.2020 registered at Police Station Mukherjee Nagar for offences under Section 420/120B/34 IPC on the ground that the parties have amicably settled their disputes. The present proceedings arise out of a builder-buyer dispute between the parties.

2. It is stated that the Respondents No. 2 & 3 had booked a residential flat bearing No. D/1211 in one of the projects of the Petitioners herein namely "UPCOUNTRY". It is stated that the said flat was book for a total sale consideration of Rs. 34,32,500/- out of which Respondent No.2 & 3 made a payment of Rs. 14,18,584/- to the Petitioner No.1 Company (Rs.5,32,750/- from own sources and Rs.8,85,834/- by availing housing loan facility from Axis Bank). It is stated that due to delay in handing over the physical possession of the said flat, Respondents No.2 & 3 filed an application under Section 7 of the Insolvency and Bankruptcy Code, 2016 before the National Company Law Tribunal (NCLT), New Delhi vide TB.No.37(ND)/2019. It is stated that during the proceedings, Petitioner No.1 settled the issues with the Respondents No.2 & 3 vide Settlement Deed dated 17.10.2019 and the NCLT application was withdrawn by the Respondents No.2 & 3. It is stated that due to dishonour of one cheque of Rs.3,00,000/-, Respondent No.2 & 3 filed the instant FIR against the Petitioners. It is stated that in the interregnum the Petitioners paid an amount of Rs.3,54,542/- to the Respondents No.2 & 3 through RTGS. It is stated that the Petitioners executed another Settlement Deed dated August 2020, whereby the Petitioners amicably settled their all previous disputes and paid a total sum of Rs.8,85,834/- to the Respondent No. 2 & 3, in lieu of above mentioned bounced cheque.

3. Today, the petitioners and respondents No.2 & 3 are present in Court. The parties have been identified by their respective counsel and the Investigating Officer. It is stated by the respondents No.2 & 3/complainant that they have

received the full and final amount. They further state that no further amount needs to be paid by the petitioners. It is also stated by the respondents No.2 & 3 that they have settled all their disputes with the petitioners out of their own free will, without pressure, coercion or undue influence. The parties undertake that they will remain bound by the terms of the settlement arrived at between them and the proceedings recorded before this Court.

4. The complainants/respondents No.2 & 3 have also filed an affidavit (Page No.18) affirming the fact that they have amicably settled all their disputes.

5. Since the dispute arises out of a commercial transaction and it private in nature the instant case is squarely covered under the law laid down by the Supreme Court in Gian Singh vs. State of Punjab, (2012) 10 SCC 303, this Court is of the opinion that no useful purpose will be served in continuing with the present proceedings. Resultantly, FIR No.432/2020 dated 29.07.2020 registered at Police Station Mukherjee Nagar for offences under Section 420/120B/34 IPC and the proceedings emanating therefrom are hereby quashed. The parties shall remain bound by the terms of the settlement and the undertaking given to the Court.

6. This Court is inclined to impose costs upon the Petitioners. Each petitioner is directed to deposit a sum of Rs.10,000/- with the "Armed Forces Battle Casualties Welfare Fund" within three weeks from today. A copy of the receipts be given to the Investigating Officer and also be filed with the Registry to show compliance of the order.

7. The petition stands disposed of in the above terms along with the pending application(s), if any.

SUBRAMONIUM PRASAD, J FEBRUARY 24, 2022 Rahul[Cites 3, Cited by 0] Punjab-Haryana High Court M/S Vatika Limited vs Hemant Gandhi And Another on 4 December, 2019 Author: Jaishree Thakur Bench: Jaishree Thakur FAO-4552-2019 -1-

IN THE HIGH COURT FOR THE STATES OF PUNJAB AND HARYANA AT CHANDIGARH

FAO No.4552 of 2019 (O&M)
Date of Decision: December 04, 2019

M/s Vatika Limited

...Appellant

Versus

Hemant Gandhi and another

...Respondents

CORAM:- HON'BLE MS. JUSTICE JAISHREE THAKUR

Present:- Mr. Adarsh Jain, Advocate for the appellant.

Mr. Jai Vir Yadav, Advocate
for the respondents.

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JAISHREE THAKUR, J. (Oral)

1. The instant appeal has been preferred under Section 37 of the Arbitration and Conciliation Act, 1996 (for short 'the Act') seeking to challenge the order dated 22.05.2019 passed by the Addl. District Judge, Gurugram whereby, the petition under Section 9 of the Act as filed by the respondents has been partly allowed and the appellant herein has been directed to remove clauses No.5, 15 and 18 from the draft conveyance deed and to execute a conveyance deed in favour of the respondents herein with regard to Unit No.TWN-003/4/P-3.3/84P/300/Sector 84 Vatika India and to hand over the physical possession of the same within one month.

2. Briefly, the facts are that the appellant-builder M/s Vatika Limited had entered into a Builder-Buyer Agreement with the respondents 1 of 4 and was to deliver the possession of the plot within 03 years i.e. by 25.08.2014, failing which the appellant herein was to pay the compensation @ 15/- per square yard per month for late delivery of possession of the plot in question. The builder received total consideration of 1.33 crores along with additional demands as raised from time to time. On 22.09.2016, the appellant offered possession vide its letter. Symbolic possession was delivered on 20.03.2017, after a delay of about 03 years. The appellant was required to execute a sale deed, since the

entire sale consideration had been received. The respondents-buyers approached the appellant with a request for execution of the sale deed, which was not accepted. Apart from asking for the conveyance deed to be executed, certain other issues were also raised by the respondents-buyers with the appellant. As the demand of the respondents-buyers was not acceded to, an application under Section 9 of the Act was preferred. The appellant prepared a draft conveyance deed incorporating clauses 5, 15 and 18, which clauses were objected to by the respondents-buyers claiming that by the insertion of these clauses, their right to claim compensation @ ` 15/- per square yard was being taken away. It was stated that the clauses as sought to be incorporated in the draft conveyance deed were not in consonance with the Builder-Buyer Agreement dated 26.08.2011 entered into between the parties. The Addl. District Judge, Gurugram by the impugned order dated 22.05.2019, directed the appellant herein to execute the conveyance deed, after removal of clauses 5, 15 and 18 and to hand over the physical possession of the plot in question. Aggrieved against the directions to remove the disputes clauses from the draft conveyance deed as well as to hand over the physical 2 of 4 possession, since the possession has already been handed over as would be evident by Annexure A/4 dated 06.03.2017 and Annexure A/5 as available with the paper book, the instant appeal has been filed.

3. Counsel for the respondents-buyers contends that the clauses as incorporated in the draft conveyance deed are not in conformity with the Builder-Buyer agreement and by introducing the said clauses, the respondents would not be able to claim compensation on account of delayed possession amongst other reliefs sought.

4. I have heard counsel for the parties and with their assistance, have also gone through the case file.

5. Section 9(1) of the Act, as invoked by the respondents herein, permits a party to apply to a court for seeking any relief even before the arbitration proceedings have been invoked. However, Section 9(2) of the Act clearly lays down that in case, the court passes an order of interim measures for protection, as allowed under Section 9(1), the arbitral proceedings shall commence within 90 days from the date of such order.

6. Admittedly, the respondents-buyers have not invoked the arbitration, despite the fact that they got an order in their favour from the Addl. District Judge, Gurugram on 22.05.2019, which they required to do.

7. Counsel appearing on behalf of the respondents submits that the arbitration would be invoked within one month.

8. In such a situation, this court is of the considered opinion that till such time the dispute is not seized of by the Arbitrator, let the conveyance deed be drawn up along with the clauses, as mentioned, however, the said clauses would not be given effect till the final decision by 3 of 4 the Arbitrator. Needless to say, the respondents-buyers would be at liberty to agitate the exclusion of these clauses before the Arbitrator, who would take the final decision thereon whether or not they are in consonance with the Builder-Buyer Agreement in question, along with all other claims as well as objections. In case, the Arbitrator is of the opinion that that these clauses are dehors the agreement, they shall be struck off. The arbitration proceedings be invoked within four weeks positively.

9. The appeal stands disposed of with the aforesaid directions.

10. The misc. applications pending as on date also stand disposed of.

(JAISHREE THAKUR)

December 04, 2019 JUDGE vijay saini

Whether speaking/reasoned Yes/No Whether reportable Yes/No

4 of 4

[Cites 2, Cited by 0] Punjab-Haryana High Court Terra Developers Pvt Ltd And Anr vs Smt Veena Dhillon on 3 February, 2026 Author: Gurvinder Singh Gill Bench: Gurvinder Singh Gill In the High Court for the States of Punjab and Haryana At Chandigarh

CWP-3085-2026 (O&M)
Date of Decision:-3.2.2026

M/s Terra Developers Private Limited and another ... Petit

Versus

Veena Dhillon ... Respondent

CORAM: HON'BLE MR. JUSTICE GURVINDER SINGH GILL
HON'BLE MRS. JUSTICE RAMESH KUMARI

Present:- Mr. Mandeep Singh Sachdev, Senior Advocate with
Ms. Pallavi Tayal Chadha, Advocate and
Ms. Vardhani Gupta, Advocate for the petitioners.

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GURVINDER SINGH GILL, J. (Oral)

1. The petitioners - M/s Terra Developers Private Limited & Terra Realcon Private Limited assail order dated 26.9.2025 (Annexure P-2) passed by National Consumer Disputes Redressal Commission (hereinafter referred to as 'the NCDRC'), whereby an appeal filed by the petitioners against order dated 8.10.2024 passed by State Consumer Disputes Redressal Commission (hereinafter referred to as 'the SCDRC') has been dismissed. The petitioners also assail order dated 4.11.2025 (Annexure P-2) passed by the NCDRC, whereby an application filed by the petitioners seeking review of the aforesaid order dated 26.9.2025, was also dismissed.

2. A few facts necessary to notice for disposal of this petition are that the petitioners, who are developers/colonizers, had floated a residential housing PANKAJ KAKKAR 2026.02.17 17:29 I attest to the accuracy and authenticity of this order/judgment Punjab & Haryana High Court at Chandigarh CWP-3085-2026 (O&M) (2) project under the name and style of 'TERRA Heritage', wherein residential apartments were to be constructed. The respondent - Veena Dhillon had purchased a residential apartment bearing No.903, 9 th Floor, Tower-O in Sector 51, Bhiwadi Alwar By-pass Road, Rajasthan in the aforesaid project for an amount of Rs.29,74,650/-. Upon payment of 20% of the aforesaid amount i.e. Rs.5,19,086/-, a Builder-Buyer's Agreement (Annexure P-3) was entered into on 10.1.2014, as per which the builder i.e. the petitioners were to hand over possession of the residential apartment complete in all respects within a period of 42 months from the date of signing of the said agreement. In other words,

the possession of said residential apartment was supposed to be handed over by July 2017. However, the possession not having been handed over in time and infact there was a delay of more than 3 years beyond July 2017 in handing over possession and consequently the respondent instituted a complaint on 12.8.2021 in District Consumer Disputes Redressal Commission (hereinafter referred to as 'the DCDRC') seeking refund of the deposited amount alongwith interest @24% per annum and also sought some additional compensation on account of mental harassment and agony. The DCDRC disposed off the said complaint vide order dated 31.8.2023 (Annexure P-11) while issuing the following directions:

"7. Thus, in view of our aforesaid discussion, the present complaint preferred by the complainant is disposed off with no order as to costs with the direction to the Ops-builder to pay compensation to the complainant at the rate of Rs.5/- per sq. ft. per month of the super area of the subject unit w.e.f. 10.07.2017 i.e. the date stipulated in the Builder Buyer's Agreement for delivery of possession till the date of letter dated 03.09.2020 thereby offering the possession of the subject allotted unit to the allottee- complainant i.e. to say for the period of 3 years and two months." PANKAJ KAKKAR 2026.02.17 17:29 I attest to the accuracy and authenticity of this order/judgment Punjab & Haryana High Court at Chandigarh CWP-3085-2026 (O&M) (3)

3. The respondent (consumer) not being satisfied with the aforesaid order preferred an appeal before the SCDRC, which was accepted vide order dated 8.10.2024 (Annexure P-14) and the petitioners were directed to refund the entire amount of Rs.27,50,598/- alongwith interest @12% per annum from the date of respective deposits till its realization. The operative portion of the said order is reproduced herein-under:

"11. In the light of the above observation and discussion, impugned order dated 31.08.2023 is set aside. The complaint as well as appeal is hereby accepted and O.Ps.-respondents are directed to refund the amount of Rs.27,50,598/- alongwith interest @ 12% per annum from the date of respective deposits till its realization. In case, there is a breach in making payment within the stipulated period of 45 days, in that eventuality, the complainant-appellant would further be entitled to get the interest @ 15% per annum, for the defaulting period. The complainant-appellant is also entitled to Rs.1,00,000/- (One Lac Only) for compensation of mental and physical agony. In addition, the complainant-appellant is also entitled for Rs.10,000/- (Ten Thousand only) as litigation expenses." 4. The petitioners i.e. the developers and builders challenged the aforesaid order dated 8.10.2024 (Annexure P-14)

passed by SCDRC by way of filing second appeal before the NCDRC. The NCDRC disposed off the said appeal vide order dated 26.9.2025 (Annexure P-2) by modifying order passed the SCDRC to the extent that the rate of interest as awarded by the SCDRC @12% per annum on the total amount was reduced to 9% per annum. The operative portion of the said order is reproduced herein-under:

"Therefore, in such cases of delay, the Complainant has right either to accept the possession with delay compensation or seek refund with compensation. PANKAJ KAKKAR 2026.02.17 17:29 I attest to the accuracy and authenticity of this order/judgment Punjab & Haryana High Court at Chandigarh CWP-3085-2026 (O&M) (4) Heard learned counsel for the petitioners and Ms. Veena Dhillon, appearing in person in detail and carefully perused the records, including the order of State Commission dated 08.10.2024. Considering the submissions made, we consider it appropriate to direct the OPs to refund Rs.27,57,598/- to the Complainant along with simple interest @ 9% per annum within a period of two months from the date of this order. In the event of delay, the interest liability for the entire period will be simple interest @ 12% per annum. The OPs are also directed to pay Rs.50,000/- to the Complainant as cost of litigation. With these directions, SA/41/2025 stands disposed of. All pending 1.As, if any, also stand disposed of." 5. Thereafter the petitioners also filed a review application before the NCDRC seeking review of aforesaid order dated 26.9.2025, which also came to be dismissed vide order dated 4.11.2025 (Annexure P-2). It is the aforesaid two orders i.e. orders dated 26.9.2025 & 4.11.2025 (Annexure P-2), which are being assailed.

6. Learned Senior counsel for the petitioners vehemently argued that the delay in the present case was not such, which would justify refund of the entire amount alongwith interest particularly when offer of possession had been duly made by the petitioners on 3.9.2020 (Annexure P-4) and that the nominal delay was caused on account of certain reasons beyond the control of developer/builder inasmuch on account of certain amendments having been brought about in Rajasthan Minor Mineral Concession Rules, 1986, there was scarcity of raw material i.e. gravel (bajri) etc. and some delay was on account of some restrictions and bans having been imposed during the years 2010- 2015 due to environmental issues. It has further been submitted that PANKAJ KAKKAR 2026.02.17 17:29 I attest to the accuracy and authenticity of this order/judgment Punjab & Haryana High Court at Chandigarh CWP-3085-2026 (O&M) (5) subsequently COVID-19 had also set-in in the year 2020, which further led to slowing down the construction work. It has thus been submitted that, under these circumstances, reasonable approach ought to have been taken by the SCDRC particularly when offer of possession had already been made by the

petitioners to the respondent and, as such the directions issued by the DCDRC for handing over possession alongwith compensation @ Rs.5/- per sq.feet. per month was perfectly justified.

7. The aforesaid submissions were also made before the SCDRC by the petitioners as are herein-below extracted from the said order:

"The delays were caused on account of orders passed by Hon'ble National Green Tribunal and State Pollution Control Board which issued various directions to builders to take additional steps to curtail pollution. On account of the aforesaid reasons, the progress of the work of OPs stood hampered. The Covid-19 was also another biggest reason for the delay in completion of the project." 8. We have heard learned counsel for the petitioners and have also gone through the impugned orders.

9. While the Builder-Buyer's Agreement (Annexure P-3) was entered into on 10.1.2014, the possession of residential apartment complete in all respects was to be handed over by July 2017. It is also not in dispute that there has been a delay of more than 3 years in handing over possession inasmuch the possession was offered to the petitioners for the first time on 3.9.2020 i.e. after the respondent had approached the DCDRC. Though the delay is sought to be explained on account of certain amendments having been brought in the Rajasthan Minor Mineral Concession Rules, 1986 during the period 2010- 2015 and on account of certain strict measures pertaining to control of PANKAJ KAKKAR 2026.02.17 17:29 I attest to the accuracy and authenticity of this order/judgment Punjab & Haryana High Court at Chandigarh CWP-3085-2026 (O&M) (6) environmental pollution having been taken by the State Government, but there is nothing on record to show that procurement of the raw material was absolutely not possible. Further the fact that pandemic COVID-19 had set-in in the year 2020 will also not be of much help to the petitioners inasmuch pandemic COVID-19 had set in March 2020 i.e. much after the stipulated date for completing construction, which was July 2017. Under these circumstances, the views taken by the SCDRC as well as the NCDRC pertaining to refund of the entire amount alongwith interest cannot be said to be perverse in any manner. In any case, the rate of interest as had been ordered by the SCDRC i.e. @12% per annum has been reduced @9% per annum by the NCDRC. The delay of 3 years in handing over possession of the residential apartment without there being any justifiable reason to explain the same would fully justify the impugned orders. In any case, the present case is a case where no such perversity in the impugned orders could be pointed out so as to warrant any interference in the

writ petition inasmuch as the scope of interference in writ jurisdiction so as to assail such orders would be very limited i.e. if there is some sheer perversity in the impugned orders or if there is some sheer misreading of evidence, which is not there in the instant case. The Hon'ble Supreme Court in M/s Garment Craft Vs. Prakash Chand Goel, AIR 2022 SC 422, while defining the scope of interference under Article 227 of the Constitution of India, held as under:

"18. Having heard the counsel for the parties, we are clearly of the view that the impugned order is contrary to law and cannot be sustained for several reasons, but primarily for deviation from the limited jurisdiction exercised by the High Court under Article 227 of the Constitution of India. The High Court exercising supervisory jurisdiction does not act as a court of first appeal to reappreciate, PANKAJ KAKKAR 2026.02.17 17:29 I attest to the accuracy and authenticity of this order/judgment Punjab & Haryana High Court at Chandigarh CWP-3085-2026 (O&M) (7) reweigh the evidence or facts upon which the determination under challenge is based. Supervisory jurisdiction is not to correct every error of fact or even a legal flaw when the final finding is justified or can be supported. The High Court is not to substitute its own decision on facts and conclusion, for that of the inferior court or tribunal. The jurisdiction exercised is in the nature of correctional jurisdiction to set right grave dereliction of duty or flagrant abuse, violation of fundamental principles of law or justice. The power under Article 227 is exercised sparingly in appropriate cases, like when there is no evidence at all to justify, or the finding is so perverse that no reasonable person can possibly come to such a conclusion that the court or tribunal has come to. It is axiomatic that such discretionary relief must be exercised to ensure there is no miscarriage of justice." 10. Examining the impugned order in the light of ratio of law laid down in M/s Garment Craft's case (supra), we do not find any perversity or illegality in the impugned orders so as to warrant any interference in exercise of writ jurisdiction. Finding no merit in the instant petition, the same is hereby dismissed.

(GURVINDER SINGH GILL)
JUDGE

3.2.2026 (RAMESH KUMARI)
Pankaj JUDGE

Whether speaking /reasoned Yes / No

Whether Reportable	Yes / No

PANKAJ KAKKAR 2026.02.17 17:29 I attest to the accuracy and authenticity of this order/judgment Punjab & Haryana High Court at Chandigarh

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